STATE OF NEW YORK

PUBLIC SERVICE COMMISSION

CASE 23-G-0225 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of the Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service

CASE 23-G-0226 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service

STATEMENT OF WE ACT FOR ENVIRONMENTAL JUSTICE IN OPPOSITION TO THE JOINT PROPOSAL

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STATEMENT IN OPPOSITION TO JOINT PROPOSAL

In accordance with the Ruling on Schedule issued by Administrative Law Judges ("ALJ") Maureen Leary and James Costello on April 11, 2024, WE ACT for Environmental Justice ("WE ACT") hereby submits this Statement in Opposition to the Joint Proposal that The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service and KeySpan Gas East Corporation d/b/a National Grid for Gas Service ("National Grid" or the "Companies") filed on April 9, 2024.

PRELIMINARY STATEMENT

New York State has taken a firm and clear stand that addressing human-induced climate change is vital and of the highest priority. The passage of the Climate Leadership and Community Protection Act ("CLCPA") solidifies the path begun under the Reforming the Energy Vision ("REV") framework and the State Energy Plan and continued in the State's Green New Deal. The course is clear: New York must cut its carbon emissions on an extremely aggressive timeline—a 40% reduction from 1990 levels must occur in slightly less than six years and an 85% reduction must be achieved in roughly twenty-six years.[1] Cutting emissions will require an unwavering commitment to abandoning the use of fossil fuels and decarbonizing the State's economy as quickly as possible.

The Public Service Commission's ("PSC" or the "Commission") role in ensuring that the targets in the CLCPA are met cannot be understated. As the regulator of the State's energy utilities, the Commission must oversee the transformation of New York's energy sector to meet our climate mandates. As is made crystal clear by the Scoping Plan, created by the State's

[1] 2019 Sess. Laws of N.Y. Ch. 106 (S. 6599) § 7(2) (hereinafter "CLCPA").

Climate Action Council, the PSC must step away from a business-as-usual approach to the energy system and require that utilities immediately make deep and swift cuts to their use of fossil fuels, stop spending ratepayer dollars on investment in fossil fuel infrastructure, and actually adhere to the CLCPA's mandates.

Unfortunately, the Joint Proposal presented by National Grid, the Department of Public Service ("Staff"), and other parties for the Commission's approval includes almost none of the steps forward that the utility obviously must take to comply with New York's energy and climate policies and laws. Indeed, the Joint Proposal takes unacceptable steps backward and locks New York's ratepayers into further decades of fossil fuel use. Provisions of the Joint Proposal would direct hundreds of millions of dollars towards expanding and maintaining customer use of fossil fuels—precisely the opposite of what the Commission should be approving under the CLCPA, the State Energy Plan, and the Green New Deal. The Joint Proposal is premised on higher than necessary funding for gas infrastructure investments to support gas demand, instead of investing in the strategic downsizing of the gas system in line with the rapid transition to heat pumps called for by the Scoping Plan. Importantly, despite clear mandates in the CLCPA to reduce harmful air pollution in, and bring the benefits of clean energy to, Disadvantaged Communities ("DACs"), the Joint Proposal contains very little that will specifically benefit DACs in these ways. Adoption of the Joint Proposal would largely preserve the status quo for another three years, a status quo in which runaway climate change is inevitable and millions of New Yorkers suffer the health consequences of bad air quality. The Companies state they are committed to a clean energy future, will not leave any of their customers behind during this transition and will

ensure protection for vulnerable communities.[2] Yet this Joint Proposal fails to make significant progress toward a new business model and achieving the Companies' stated goals.

Delaying this shift for another three years, until at least 2027, severely jeopardizes the State's ability to meet the 2030 greenhouse gas mandates, making this Joint Proposal inconsistent with the attainment of the CLCPA's requirements. Additionally, the Joint Proposal greenlights polluting energy projects that will disproportionately burden disadvantaged communities in contravention of the CLCPA. For these reasons, and as detailed below, adoption of the Joint Proposal as is would violate the Public Service Law and the CLCPA.

WE ACT opposes the Joint Proposal because it is plainly not in the public interest. WE ACT is joined in its opposition by numerous other parties. For the reasons described below, WE ACT respectfully requests that the Commission reject the Joint Proposal as written and modify various terms of the Joint Proposal.

PROCEDURAL HISTORY

On April 28, 2023, National Grid filed a new tariff filing and testimony with the PSC in support of proposed increases to its gas delivery revenues for gas service, effective April 1, 2024.[3] For its three-year rate plan, the Companies proposed to increase their annual gas delivery revenues by $414 million for KEDNY and $228 million for KEDLI.[4]

ALJs Leary and Costello held a procedural conference on June 14, 2023, and thereafter issued a Ruling on Schedule on June 21, 2023, setting dates for initial and rebuttal testimony as well as the evidentiary hearing. On June 30, 2023, the Companies filed their revenue requirement

[2] Companies' Pre-Filed CLCPA Panel Testimony at 8.
[3] KEDLI/KEDNY Joint Proposal at 2, NY PSC Case Nos. 23-G-0225 & 23-G-0226 (Apr. 9, 2024) ("Joint Proposal").
[4] *Id*.

update and updated testimony. Staff, WE ACT, and other parties[5] filed direct testimony on August 31, 2023, and rebuttal testimony[6] on September 22, 2023.

On September 26, 2023, the Companies filed a notice that settlement negotiations would commence on October 11, 2023, and the active parties engaged in discovery throughout the proceedings. A number of the parties ultimately reached agreement on a Joint Proposal, resolving some of the disputed issues. The Joint Proposal was filed on April 9, 2024, and signed by National Grid, Staff, the City of New York, the Environmental Defense Fund, and NRG Energy, Inc.

WE ACT is a community-based organization that, since 1988, has been building healthy communities by ensuring that people of color and/or low-income residents participate meaningfully in the creation of sound and fair environmental health and protection policies and practices. Today, the organization has grown to over 22 staff members and two locations in New York City and Washington D.C. and is considered an active and respected participant in the national environmental justice movement.

WE ACT opposes the adoption and approval of the Joint Proposal for the reasons stated below and respectfully requests that the Commission modify the Joint Proposal.

[5] Parties filing direct testimony included Alliance for a Green Economy, City of New York, Environmental Defense Fund ("EDF"), Margot Spindelman, Natural Resources Defense Council ("NRDC"), NRG Energy, Public Utility Law Project of New York ("PULP"), Sane Energy Project, Mary T. Finneran, and the Division of Consumer Protection's Utility Intervention Unit ("UIU").

[6] Parties filing rebuttal testimony included WE ACT, the Companies, Staff, City of New York, PULP, Sane Energy Project and UIU.

LEGAL AND POLICY FRAMEWORK APPLICABLE TO THE JOINT PROPOSAL

In evaluating a joint settlement proposal, the Commission must determine whether "the terms of the proposal, viewed as a whole, produce a result that is in the public interest."[7] The Commission must also evaluate and determine whether the settlement proposal will provide safe and adequate service at just and reasonable rates as required by the Public Service Law[8] and complies with the CLCPA.: (1) complies with Sections 7(2) and 7(3) of the Climate Leadership and Community Protection Act ("CLCPA;")[9] ; (2) will provide safe and adequate service at just and reasonable rates[10]; (3) and is consistent with sound environmental, social and economic policies of the Public Service Commission, New York City, and New York State; (4) the settlement strikes a balance between "protection of the ratepayers," "fairness to investors," and "the long term viability of the utility;"[11] and (5) the settlement will have results that are "within the range of reasonable results that would likely have arisen from a Commission decision in a litigated proceeding."[12] If one of these elements is not satisfied, the Commission should not approve the settlement. In addition, the Commission must take into account the fact that "settlement reflects the agreement by normally adversarial parties,"[13] and give weight to the fact that a settlement is contested.[14]

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[7] Order Approving Electric and Gas Rate Plans at 97, NY PSC Case Nos. 16-E-0060 & 16-G-0061 (Jan. 25, 2017) (citing Order and Resolution Adopting Settlement Procedures and Guidelines, App. B at 7–8, NY PSC Case Nos. 90-M-0225 & 92-M-0138 (Mar. 24, 1992) (the "Settlement Procedures and Guidelines Order")).
[8] PSL § 65(1)
[9] The Commission has acknowledged that its orders adopting Joint Proposals are "administrative approvals" within the meaning of Section 7, and that rate cases therefore are subject to both Section 7(2) and 7(3) of the CLCPA. *See* Order Approving the Joint Proposal, as Modified and Imposing Additional Requirements at 62, 70, NY PSC Case Nos. 19-G-0309 & 19-G-0310 (Aug. 12, 2021) ("2021 KEDLI/KEDNY Order").
[10] PSL § 65(1).
[11] Settlement Procedures and Guidelines Order, App'x B at 8.
[12] *Id*.
[13] *Id*.
[14] *Id.* at 30.

I. THE CLIMATE LEADERSHIP AND COMMUNITY PROTECTION ACT PROVIDES NEW REQUIREMENTS FOR RATE ORDERS.

New York passed the CLCPA out of a recognition that climate change is adversely affecting New York and a statewide reduction in greenhouse gas emissions will reduce those adverse effects.[15] To this end, the CLCPA requires cutting economy-wide state greenhouse gas emissions to 60% of 1990 levels by 2030 and 15% of 1990 levels by 2050,[16] mandates that a minimum of 70% of statewide electric generation be served by renewable energy by 2030, and all statewide electrical demand be served by zero-emission generation by 2040.[17] Under CLCPA Section 7(2), every state agency, when making any "administrative approval[] or decision[]," must consider whether the approval or decision is inconsistent with or would interfere with attainment of the CLCPA's statewide greenhouse gas reduction requirements, and if so, the approval or decision cannot go forward without a justification.[18] The statute also calls for the adoption of measures to promote beneficial electrification in transportation and reduce energy consumption in residential and commercial spaces.[19] These aggressive binding mandates for greenhouse gas emissions and the legislative push for beneficial electrification all demand a dramatic shift away from the business-as-usual operations of the utilities in this state.

In addition to the CLCPA's emissions mandates, the statute also includes provisions specifically addressing the disproportionate climate and environmental burdens that DACs experience. The CLCPA broadly defines DACs as "communities that bear burdens of negative public health effects, environmental pollution, impacts of climate change, and possess certain socioeconomic criteria, or comprise high-concentrations of low- and moderate- income

[15] CLCPA § 2(a).
[16] ECL §§ 75-0107, 75-0109(4)(a)–(b), (f)
[17] PSL § 66-p(2)
[18] CLCPA § 7(3).
[19] ECL § 75-0103(13)(f), (g).

households."[20] The State identified communities that qualify as DACs in a multi-year process.[21] The CLCPA protects DACs from discrimination through two key statutory provisions. CLCPA § 7(3) requires all state agencies, including the PSC, to avoid taking administrative actions that disproportionately burden DACs and to ensure that their administrative actions prioritize emissions reductions in DACs.[22] A separate section of the CLCPA requires agencies to fairly distribute the benefits of the energy transition mandated by the statute.[23] The statute requires agencies to ensure DACs receive a target of 40%, and no less than 35% "of the overall benefits of spending on clean energy and energy efficiency programs, projects or investments."[24] The PSC has acknowledged this duty, stating that the CLCPA requires the agency to design programs "in a manner to provide substantial benefits for disadvantaged communities, including low to moderate income customers, at a reasonable cost while ensuring safe and reliable electric service."[25] PSC has also undertaken generic proceedings designed to implement the CLCPA in long-term utility planning.[26]

Even though the New York Department of Environmental Conservation ("DEC") will soon begin promulgating the CLCPA's implementing regulations, the New York State Legislature intended for state agencies to begin cutting emissions, while protecting DACs,

[20] *Id.* § 75-0101(5). In NYC, 45% of tracts are identified as DACs, and on Long Island, 15% percent of tracts are also identified as DACs. New York State, *Disadvantaged Communities Criteria*, https://climate.ny.gov/Resources/Disadvantaged-Communities-Criteria (accessed April 29, 2024).
[21] New York State, *Disadvantaged Communities Criteria*, https://climate.ny.gov/Resources/Disadvantaged-Communities-Criteria (accessed April 29, 2024).
[22] CLCPA § 7(3).
[23] ECL 75-0117.
[24] *Id*.
[25] Order on Implementation of the Climate Leadership and Community Protection Act at 5, NY PSC Case No. 22-M-0149 (May 12, 2022) ("CLCPA Order").
[26] *See* CLCPA Order; Order Adopting Gas System Planning Process, NY PSC Case No. 20-G-0131 (May 12, 2022) ("Gas Planning Order").

immediately upon the enactment of the statute.[27] These immediate duties upon state agencies are enshrined in Section 7 of the CLCPA, which binds the PSC in this rate case. The Commission has acknowledged that its orders adopting Joint Proposals are "administrative approvals" within the meaning of Section 7, and that rate cases therefore are subject to both Section 7(2) and 7(3) of the CLCPA.[28] According to the Climate Action Council, "[a]dditional regulatory actions by PSC will likely be necessary to effectuate the required transition away from gas with the condition that displaced, trained workers should be prioritized for new transitional work."[29]

When assessing a Joint Proposal for compliance with the CLCPA, assessing individual terms for consistency rather than the rate case as a whole is appropriate.[30] If the Commission chooses to adopt a Joint Proposal term that is inconsistent with or would interfere with the greenhouse gas ("GHG") emissions mandate of the statute, the agency has an obligation to justify its decision, to rule out alternative terms that would be compliant with the CLCPA, and to apply stringent mitigation measures into the final order adopting the Joint Proposal.[31]

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[27] See *Danskammer Energy, LLC v. New York State Dep't of Env't Conservation*, 76 Misc. 3d 196, 248–49 (N.Y. Sup. Ct. 2022) (holding that the lack of implementing regulations for the CLCPA does not relegate agencies to waiting for promulgation of the implementing regulations in order to comply with the CLCPA & "the Legislature identified a currently existing, urgent problem that was worsening, not a developing or potential problem that might arise if appropriate action was not taken in the future.").

[28] 2021 KEDLI/KEDNY Order at 62, 70.

[29] N.Y. Climate Action Council, *Final Scoping Plan*, 353 (2022), https://climate.ny.gov/-/media/project/climate/files/NYS-Climate-Action-Council-Final-Scoping-Plan-2022.pdf ("Final Scoping Plan").

[30] *See, e.g.,* 2021 KEDLI/KEDNY Order at 70 (noting that absent approval of a Joint Proposal by the Commission "specific projects that were reviewed to provide evidentiary support for the utility's rate recovery… would likely not be pursued by the utility"); Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans, with Additional Requirements at 78, NY PSC Case Nos. 21-E-0074 & 21-G-0073 ("O&R Order") (indicating the importance of developing "an assessment of the impacts that O&R's specific investments, capital expenditures, programs, and initiatives described in its rate filing will have on its greenhouse gas emissions from its gas network, specifying the potential emissions impacts of each"); Order Adopting Terms of Joint Proposal, Establishing Rate Plans and Reporting Requirement at 89, NY PSC Case Nos. 20-E-0390, 20-G-0381 & 19-M-0133 (Jan. 20, 2022) ("NiMo Order") (scrutinizing individual programs that parties took issue with); CLCPA Order at 16 (noting that recent rate cases imposed requirements on utilities "to include an assessment of the GHG emissions impacts of each specific investment, capital expenditure, program, and initiative included in their rate filings").

[31] CLCPA § 7(2).

With regards to DACs, the Commission is obliged to consider burdens on DACs individually and as a whole,[32] including environmental, social, and economic burdens.[33] Before the Legislature passed the CLCPA, the Commission already had a legal duty to provide safe and reliable service to DACs at just and reasonable rates.[34] When drafting the CLCPA, the Legislature included statutory language imposing new duties on state agencies, including the PSC, to take additional steps to ensure that DACs are guaranteed protection from a wider array of burdens and disadvantages.[35] Accordingly, compliance with the CLCPA's DAC provisions requires more action from the Commission than was required under the Public Service Law. Where a term in the Joint Proposal disproportionately burdens any DAC, the Commission is legally obligated to modify the term such that the disproportionate burden is eliminated.[36] The Commission must also identify how the order will prioritize emissions reductions in DACs.[37]

In summary, the CLCPA requires the Commission to conduct a fact-specific inquiry, carefully evaluating each term of the Joint Proposal for compliance with the CLCPA and modifying or rejecting any terms that do not comply with the law.

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[32] *See, e.g.,* 2021 KEDLI/KEDNY Order at 81 (finding that "capital projects as a whole *and individually* that would be paid for under the Joint Proposal do not disproportionally impact disadvantaged communities") (emphasis added); *see also, e.g.* NiMo Order at 90–91.

[33] *See* 2021 KEDLI/KEDNY Order at 82 (finding that energy affordability is one consideration in a Section 7(3) analysis); Scoping Plan at 5 ("A fundamental objective of New York's nation-leading climate and energy agenda is to ensure that New York's transition to a clean energy economy addresses health, environmental, and energy burdens that have disproportionately impacted underrepresented or underserved communities (including people of color, indigenous populations, low-income individuals, and women) and to remedy the structural causes that underpin these burdens."); Final Scoping Plan at 7; *cf.* Final Scoping Plan at 205 (stating "electric rate structures will need to evolve to be supportive of and appropriate for higher levels of electrification of buildings and vehicles, with attention to *equitable* rate design") (emphasis added).

[34] *See* PSL § 65(3) ("No gas corporation, electric corporation or municipality shall... subject any particular person... to any undue or unreasonable prejudice or disadvantage in any respect whatsoever.").

[35] *Cf. Danskammer Energy, LLC v. N.Y. State Dep't of Env't Conservation*, 76 Misc. 3d 196, 247 (N.Y. Sup. Ct. 2022) ("All parts of a statute must be given effect, and a construction which renders any part meaningless should be avoided") (citation omitted).

[36] *Cf.* Letter from DEC Div. of Env't Permits to Dale Irwin, Greenidge Generation, regarding Notice of Denial of Title V Air Permit at 19 (June 30, 2022).

[37] *See* Gas Planning Order at 57 (acknowledging statutory duty to prioritize emissions reductions in DACs)

II. THE PUBLIC SERVICE LAW ALLOWS FOR THE CONSIDERATION OF ENVIRONMENTAL POLICY IN ADDITION TO SAFE AND RELIABLE SERVICE AT JUST AND REASONABLE RATES.

The Public Service Law requires that the Joint Proposal will provide safe and adequate service at just and reasonable rates.[38] Also, as stated above, in evaluating a Joint Proposal, the Commission must determine whether "the terms of the proposal, viewed as a whole, produce a result that is in the public interest."[39] In evaluating whether a settlement proposal is in the public interest, the Commission must consider several factors, including whether: (1) the settlement proposals are consistent with sound environmental, social, and economic policies of the Agency and the State; (2) the settlement strikes a balance between "protection of the ratepayers," "fairness to investors," and "the long term viability of the utility;" and (3) the settlement results are "within the range of reasonable results that would likely have arisen from a Commission decision in a litigated proceeding."[40] If any one of these elements is not satisfied, the Commission should not approve the settlement. In addition, the Commission must take into account the fact that "settlement reflects the agreement by normally adverse parties,"[41] and give weight to the fact that a settlement is contested.[42]

[38] PSL § 65(1)
[39] *See, e.g.,* Settlement Procedures and Guidelines Order, App. B at 7–8.
[40] *Id*., App. B at 8.
[41] *Id*.
[42] *Id*.

In addition to the CLCPA, the PSC must consider other state and local environmental policies including REV[43], the Green New Deal[44], and New York City Local Laws 97[45] and 154.[46] Additionally, in 2021, New Yorkers passed the Environmental Rights Amendment, which added the right of each person to clean air, water, and a healthful environment to the state constitution.[47] Furthermore, the Climate Action Council's Scoping Plan, which provides recommendations for achieving the CLCPA greenhouse gas limits and must inform the State Energy Plan, provides that in order to meet the CLCPA's emissions limits, there must be a "substantial" reduction in natural gas use and a downsizing and decarbonization of the gas system, including retirement of existing pipelines and electrification.[48] The Climate Action Council—which is staffed by agency heads including the PSC Commissioner—developed the Scoping Plan over a two-year process that involved expert advisory committees, multiple public hearings, thousands of public comments, and months of analysis and deliberation. New Yorkers have made it clear that they want to transition to clean energy and leave gas behind through the process of electrification, which is both safe and good for public health and the health of the environment.

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[43] Reforming the Energy Vision ("REV") was a series of multiagency regulatory proceedings and policy initiatives designed to create a more energy efficient and resilient energy grid and integrate renewable energy into the electric grid. *See* N.Y. State of Opportunity, *Reforming the Energy Vision Fact Sheet* https://www.ny.gov/sites/default/files/atoms/files/REV42616WHATYOUNEEDTOKNOW.pdf (accessed Apr. 29, 2024).

[44] The Green New Deal mandates that New York's power needs be 100% carbon-free by 2040. The deal also mandates investments in solar, wind, and energy storage projects and prioritizes climate justice for underserved communities. *See* Press Release, *Governor Cuomo Announces Green New Deal Included in 2019 Executive Budget* (Jan. 17, 2019), https://www.nypa.gov/-/media/nypa/documents/document-library/news/140-governor-cuomo-announces-green-new-deal-included-2019-executive-budget.pdf.

[45] Local Law 97 sets limits on the greenhouse gas emissions of covered buildings in order to meet New York City's climate goals. The goal is to reduce the emissions produced by the city's largest buildings by 40% by 2030 and 80% by 2050. *See* N.Y.C. Sustainable Buildings, *Compliance*, https://www.nyc.gov/site/sustainablebuildings/requirements/compliance.page (last visited Apr. 29, 2024).

[46] Local Law 154 phases fossil fuels out of new construction beginning in 2024. It also requires the city to study heat pump technology and the city's electrical distribution grid. *See* N.Y.C. Council, *Local Laws of the City of New York for the Year 2021 No. 154* (2021), https://www.nyc.gov/assets/buildings/local_laws/ll154of2021.pdf.

[47] N.Y. Const. art. 1, § 19.

[48] Scoping Plan at 350–51.

The Commission, therefore, should only approve the Joint Proposal if it determines that the agreement's terms are consistent with the CLCPA, the Public Service Law, and the State Energy Plan, and whether, in light of these laws and policies, the Joint Proposal is reasonable and fair to ratepayers. WE ACT submits that, taken as a whole, the Commission should find that the terms of the Joint Proposal represent a willful blindness to the aggressive trajectory New York State, City, and the Climate Action Council have set for combatting climate change and, therefore, is not in the public interest. Thus, WE ACT recommends that the Commission modify the Joint Proposal.

THE COMMISSION MUST NOT APPROVE, BUT RATHER SHOULD MODIFY THE JOINT PROPOSAL

WE ACT submits the following reasons to modify the Joint Proposal.[49] The Joint Proposal includes a number of significant terms that, both individually and as part of the Joint Proposal considered as a whole, are markedly not in the public interest, are inconsistent with the CLCPA, and conflict with State and Federal law and the Commission's guidance regarding utilities' political activity. Many of the terms WE ACT objects to below plainly violate laws of New York State, such as the Public Service Law and the CLCPA.

I. TO COMPLY WITH THE CLCPA AND THE PUBLIC SERVICE LAW, THE COMMISSION MUST DRAMATICALLY DECREASE THE LEAK PRONE PIPE REMOVAL TARGETS AND REQUIRE THE COMPANIES TO SIGNIFICANTLY SCALE UP THE NON-PIPELINE ALTERNATIVES PROGRAM.

The Companies' Leak Prone Pipe Removal program contained in the Joint Proposal sets forth an inflexible and minimum target of removing and replacing 531 miles for leak prone pipe

[49] In this statement, WE ACT addresses only those matters essential to its position and does not provide a comprehensive review of the entire Joint Proposal.

over the three-year period of 2024 to 2027.[50] The Joint Proposal sets forth this inflexible requirement, but lacks any specificity regarding what percentage of pipe must be retired and what percentage will be replaced by new pipe. In lieu of any binding commitment to retire leak prone pipe, the Joint Proposal gives the Companies wide discretion to "remove or retire leak prone services in conjunction with [leak prone pipe] main removal efforts."[51] Under the Leak Prone Pipe Removal program, retirement of leak prone pipe is further stymied by the fact that the Companies have not developed a concrete or successful Non-Pipeline Alternative ("NPA") program. Worst of all, the Joint Proposal includes a negative revenue adjustment which creates a perverse incentive for the Companies to continue replacing leak prone pipe rather than to conduct a narrowly tailored inquiry into the costs and benefits of pipe replacement based on factors such as safety, reliability, cost, and GHG emissions impact.[52] Thus, the Leak Prone Pipe Removal program as laid out in the Joint Proposal is structured in a way that Companies are likely to miss opportunities to retire leak prone pipe, over-invest in leak prone pipe replacement, and underinvest in NPAs such as electrification of service. The Commission must modify the Leak Prone Pipe Removal and NPA programs found in the Joint Proposal.

A. Costs Passed on to Rate Payers by Way of the Leak Prone Pipe Program Are Not Just and Reasonable Because the Proposal Includes Imprudent Investments.

The Leak Prone Pipe program found in the Joint Proposal[53] is not just and reasonable because the program incentivizes the Companies to make imprudent investments that will saddle ratepayers with high costs over a period longer than the useful life of the investments. The average installation cost-per-mile for pipe replacement is roughly $11 million in KEDNY's

[50] Joint Proposal at 74–75.
[51] *Id.* at 74.
[52] *Id.* at 74–75.
[53] *Id.*

service territory and more than $2.6 million in KEDLI's service territory.[54] The Joint Proposal sets enormous capital spending targets for leak prone pipe replacement for KEDNY at $156.519 million in FY2024, $156.237 million in FY2025, $200.14 million in FY2026, and $256.888 million for FY2027,[55] for a total of nearly $770 million. In KEDLI's service territory, the capital spending targets are set at $242.623 million in FY2024, $276.347 million in FY2025, $300.885 million in FY2026, and $328.979 million for FY2027 for a total of more than $1.1 billion.[56]

Courts in New York have held that "the specific function of the rate-making power is to protect the utility's ratepayers."[57] Under the Public Service Law, a utility is not permitted "to include negligent or wasteful expenditures in its operating expenses," and the PSC "may review the operating expenses of a utility and thereby prevent unreasonable costs for materials and services from being passed on to rate payers."[58] A determination that "a utility may recover certain costs . . . necessarily include[s] assessment of the prudence of a utility's actions as those actions impact upon the ratepayers."[59] "Prudence is determined by judging whether the utility acted reasonably, under the circumstances at the time, considering that the Company had to solve its problems prospectively rather than in reliance on hindsight."[60]

Case law suggests that investments in assets that a utility can reasonably expect to become stranded are not prudent investments. For example, in *Abrams v. Public Service Commission*, petitioners in an Article 78 action challenged "the PSC's determination which

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[54] The average cost-per-foot across the rate term is $2078.25 in KEDNY's service territory and $499.75 in KEDLI's service territory. *See* KEDNY Pre-Filed GIOP Testimony at 24; KEDLI Pre-Filed GIOP Testimony at 24.
[55] Joint Proposal App. 1, Sched. 4 at 1.
[56] *Id*. App. 2, Sched. 4 at 1.
[57] *Niagara Mohawk Power Corp. v. Pub. Serv. Comm'n*, 69 N.Y.2d 365, 369 (1987) (citation omitted).
[58] *Id*.
[59] *Nat'l Fuel Gas Distrib. Corp. v. Pub. Serv. Comm'n,* 71 A.D.3d 62, 66 (N.Y. App. Div. 2009), *aff'd,* 16 N.Y.3d 360 (2011) (citations omitted); *see also* Direct Testimony of Alice Napoleon and Asa Hopkins on Behalf of NRDC at 25, NY PSC Case Nos. 22-E-0064 & 22-G-0065 (May 23, 2022) (hereinafter "Synapse Direct Testimony") ("Utilities have an obligation to demonstrate that an investment is prudent.").
[60] *Nat'l Fuel Gas Distrib. Corp. v. Pub. Serv. Comm'n*, 71 A.D.3d at 66.

allowed the amortization over an eight-year period of approximately $41 million in expenses relating to a discontinued pumped-storage project" by Con Edison.[61] Petitioners opposed cost recovery on the grounds that customers should not be on the hook for an asset that was no longer used and useful.[62] However, the PSC found that the Company should be allowed to recover costs for the abandoned project because Con Edison made prudent investments up until the point that the assets became stranded.[63] The court agreed with the PSC and found that the determination that Con Edison had acted prudently had a rational basis because the Company made the investments after reasonably "anticipat[ing] a progressively greater demand for electricity in the New York City area serviced" and because "[t]he pumped-storage concept was specifically suited for anticipated demands."[64] The court added that Con Edison "cannot be faulted for not anticipating" the circumstances which ultimately killed the pumped-storage project, which included environmentalist opposition to the project, along with a drop in electricity demand in the service territory, traceable to changing attitudes on energy conservation.[65]

By contrast, here the Leak Prone Pipe program is imprudent because the Companies *can* reasonably anticipate that the program is likely to result in stranded assets. The Companies know or should know that as the State makes the investments required for CLCPA compliance, demand for gas will precipitously drop in the service territory over the next two decades. The Companies are familiar with the GHG reduction mandates of the CLCPA, which will incentivize many customers to disconnect from the gas system and to begin heating their homes with heat pumps and cooking with electric or induction stoves.[66] Furthermore, the Companies or should

[61] *Abrams v. Pub. Serv. Comm'n,* 104 A.D.2d 135, 136 (N.Y. App. Div. 1984), *aff'd*, d67 N.Y.2d 205 (1986).
[62] *Id*.
[63] *Id.* at 136.
[64] *Id.* at 138.
[65] *Id*.
[66] *See* Michael J. Walsh & Michael E. Bloomberg, Building Decarbonization Coal., *The Future of Gas in New York State* 16 (Mar. 2023).

know that the PSC has already accepted that rationally, "meeting the CLCPA's emissions reductions targets for the entire economy will require emissions reductions from the gas distribution system."[67] The Companies know or should know that the Climate Action Council's Scoping Plan anticipates a dramatic natural gas use reduction of 33% within just the next six years, identifies the need for the existing natural gas system to be strategically downsized "as quickly as possible and to the maximum extent possible," recommends utility-specific forecasts for reducing gas sales and decreasing the number of gas customers over time, and calls for applying greater scrutiny to investments in the gas distribution system to ensure that investments do not result in stranded assets that make it even more expensive to reduce greenhouse gas emissions in the future.[68]

To this end, the Commission should revise the Joint Proposal to incorporate a new Leak Prone Pipe program that does not create a fixed mileage target for the Companies, but instead requires a more flexible and tailored inquiry into which leak prone pipes can be retired, and which must necessarily be replaced for the purposes of safety and reliability. This tailored inquiry would need to consider whether leak prone pipes could instead be replaced by NPAs. This approach would also be in line with the Commission's prior "recogni[tion] that the use of NPAs instead of building new [gas] infrastructure is preferrable in light of CLCPA targets."[69]

B. To Comply with the CLCPA, Decrease Future Gas Demand, and Reduce Emissions, National Grid Must Dramatically Scale Up the NPA Program in Its Entirety.

To successfully and meaningfully reduce emissions and customer costs while also meeting their statutory obligation of providing safe and reliable service at just and reasonable

[67] Gas Planning Order at 4.
[68] Final Scoping Plan at 350, 353, 360, 362.
[69] Gas Planning Order at 36.

rates, the Companies should avoid infrastructure spending and dramatically scale up the NPA Program described in the Joint Proposal.[70] An NPA is an investment or activity that defers, reduces, or avoids the need to construct, upgrade, or replace gas system infrastructure.[71] Instead of addressing system issues with traditional capital projects, the Companies should be leveraging demand-side NPA resources, such as energy efficiency, demand response and electrification, to reduce customer costs and decrease the risk of stranded assets. The impact of avoiding new and costly infrastructure will result in a steady decline of emissions and co-pollutants. NPAs are a critical tool to reduce costs and emissions, yet the Joint Proposal fails to reckon with the Companies' unsuccessful program design and sluggish implementation and identify new pathways to secure substantial advancement.

WE ACT is concerned, based on experiences in past rate cases, that the Companies will fall short of implementing the Joint Proposal's provisions on NPAs. The Joint Proposal states that the "Companies will use experience and lessons learned from pilots by other utilities in New York" to identify hurdles and "will annually identify at least five segments of [leak prone pipe] in each of the Companies' service territories that could be abandoned."[72] WE ACT acknowledges and commends the Companies for being "early movers" in the NPA space[73] and for developing creative NPA programs[74] for their LLP replacement, distribution and service lines, and for service areas identified with capacity constraints. However, the Companies' NPA programs have yet to lead to any meaningful progress on emissions or cost reductions. For example, the Companies' 2019 Rate Case Joint Proposal obligated the Companies to identify at

[70] Joint Proposal at 39–46.
[71] Sonal Jessel Pre-Filed Direct Testimony at 46 (Sept 1, 2023) ("Jessel Testimony).
[72] Joint Proposal at 40.
[73] Joint Proposal at 102, 105, NY PSC Case No. 17-G-0239 (Jan. 19, 2018); Joint Proposal at 40, NY PSC Case Nos. 19-G-309 & 19-G-0310 (May 14, 2021); Joint Proposal at 104, NY PSC Case No. 20-G-0381 (Sep. 27, 2021).
[74] National Grid: Gas Customer Connection Costs & Electrification Incentives Report, NY PSC Case Nos. 19-G-0309 & 19-G-0310 (May 12, 2022).

least five segments of leak prone pipe that could be abandoned and converted to NPAs, and yet to date, none of the projects have been replaced with NPAs due to the Companies' inability to obtain customer consent.[75] Three years later, in the current Joint Proposal, the Companies propose the same target, after conceding that previous methods of outreach and education have proven unsuccessful.[76] In FY2022, the Companies even hired a consultant to reach out to customers along the proposed project paths to describe the process, benefits, and costs of an NPA.[77] The outreach conducted by the consultant gauged customer interest in converting to non-gas alternatives for heating, cooking and drying.[78] During the second year, the Companies' employees conducted consumer outreach using the same process developed by the consultant,[79] yet customers within the Companies' service territories have not changed their behavior.

WE ACT recognizes the challenges the Companies face to change customer behavior, but educating customers about the benefits of electrification is critical if the Companies sincerely want to implement successful NPA programs that lead to meaningful emissions reductions. To attain this transition, the Commission must require the Companies to aggressively plan, ramp up, and identify NPA candidates within the gas system. Some of the barriers to electrification are the lack of awareness, unfamiliarity with the technology, upfront costs of electrification make-ready and other pre-electrification needs as well as equipment needed to make the switch from fossil fuels to electric and the difficulty of retrofitting the property. Additionally, as detailed in Section IV below, the Companies' efforts to actively promote gas and policies that will prolong the gas system undermine their stated goal of encouraging customers to electrify.

[75] Companies' Response to CNY IR 67, attached as Exhibit A.
[76] *Id*.
[77] Companies' Response to NRDC IR 10(c), attached as Exhibit B.
[78] *Id.*
[79] *Id.*

To help overcome some barriers of customer education and adoption, the Companies should further develop, expand, and implement a proposal that originated in their last rate case: a *Gas Customer Connection Costs & Electrification Incentives Report*.[80] In their report, the Companies evaluated the costs for new gas customer connections as well as a proposal for "potential financial incentives for residential customers to encourage the expansion of electric heating in New York."[81] Predicated on the Companies' findings, customers should also be allowed to use an avoided new customer connection or service replacement electrification incentive offer to help offset any upfront costs associated with an electrification project. This would include costs to install cold-climate-certified air-source heat pumps (including mini splits), ground-source heat pumps, building envelope upgrades, disconnection of gas lines within the building, efficient electric stoves or other efficient electric appliances, upgrades to electric circuit break panels or adding a sub-panel to the exiting electric panel, and any other internal electrical system upgrades. The Companies' failure to include electrification incentives likely means the Companies will miss their NPA goal and will continue to operate and replace riskier assets just to maintain safe and reliable service.

New York is shifting decisively away from fossil fuels. As the Commission explained in its Gas Planning Order, gas utilities need to adopt an improved gas plan that minimizes infrastructure investments while ensuring safe and reliable service that is consistent with the CLCPA.[82] The Commission additionally directed all utilities to identify the locations of specific segments of their leak-prone pipe that "could be abandoned in favor of NPAs and where

[80] National Grid: Gas Customer Connection Costs & Electrification Incentives Report, NY PSC Case Nos. 19-G-0309 & 19-G-0310 (May 12, 2022).
[81] *Id.*
[82] Order Instituting Proceeding at 2–3, NY PSC Case No. 20-G-0131 (Mar. 19, 2020).

infrastructure projects may be needed in the near future to maintain reliability."[83] The Commission encouraged utilities to take a "neighborhood approach" and develop "a comprehensive program that simultaneously removes leaking or leak-prone infrastructure and employs programs such as weatherization and demand response along with electrification."[84] The Climate Action Council, Staff, and the Commission have all emphasized the importance of identifying strategic opportunities to retire existing pipelines as demand declines, when repairing and replacing leak-prone pipe.[85] The Companies must follow suit.

II. THE COMMISSION SHOULD REJECT SECTION 7.8 OF THE JOINT PROPOSAL AND DENY COST RECOVERY FOR THE BIOMETHANE INTERCONNECTIONS.

The Commission should reject the Joint Proposal's inclusion of rate recovery for new biomethane interconnections, which violate both the Public Service Law and the CLCPA. Each Company has proposed two new biomethane interconnections and the Joint Proposal allows for capital cost recovery of up to $13.195 million for KEDNY and $9.868 million for KEDLI as set forth in Section 7.8, with a 9.35% ROE.[86] At each interconnection, the Companies will purchase biomethane that developers have produced using biogas.[87] The process of turning biogas into biomethane includes gas compression, water and carbon dioxide removal, and flaring.[88]

Each Company plans to construct one interconnection at an existing wastewater treatment facility, which already produces and then flares biogas from wastewater sludge[89] and also plans

[83] Gas Planning Order at 39.
[84] *Id*.
[85] Final Scoping Plan at 358; Gas Planning Order at 39.
[86] Joint Proposal at 8, 56.
[87] KEDNY Pre-Filed GIOP Testimony at 78; KEDLI Pre-Filed GIOP Testimony at 74; Companies' Response to DPS IR 354, attached as Exhibit C.
[88] Companies' Response to WE ACT IR 150, attached as Exhibit D.
[89] KEDNY Pre-Filed GIOP Testimony, Exhibit__ (GIOP-5) at 267–270; KEDLI Pre-Filed GIOP Testimony, Exhibit __ (GIOP-5) at 221–224.

to construct one interconnection that is not attached to any existing infrastructure, where a private developer plans to build a site to produce biogas from organic materials such as food waste using anaerobic digestion.[90] The components, footprint, and impacts of the facilities needed to turn biogas into biomethane are not in the record. The Companies' interconnections will consist of equipment to monitor gas quality, regulate pressure, and add odorant to the biomethane; a sales meter and control room; and pipeline to connect the biomethane production facility to the gas distribution system.[91]

The interconnections are not necessary to meet any reliability need or any other customer demand and also undermine New York's efforts to meet its climate mandates by prolonging reliance on the gas distribution system without reducing greenhouse gas emissions. Even more troubling to WE ACT, the interconnections will be located in or very close to communities that are already overburdened by energy infrastructure and other sources of pollution. These interconnections will more than likely compound those environmental impacts by creating local air emissions and inducing vehicle traffic. The Companies want to use the interconnections to avoid the reputational damage of continued reliance on fossil fuel,[92] but in reality, developing infrastructure to blend biomethane into the distribution system only serves to prolong reliance on gas—on the Companies' product and system. Ratepayers should not be saddled with the cost of the Companies' greenwashing, which is not beneficial to ratepayers and will harm local communities.

[90] Companies' Response to WE ACT IR 35 (Jessel Testimony Ex. 29); Companies' Response to WE ACT IR 71(a) (Jessel Testimony Ex. 14).
[91] KEDNY Pre-Filed GIOP Testimony at 78–80; KEDLI Pre-Filed GIOP Testimony at 76–77.
[92] *See* KEDNY Pre-Filed GIOP Testimony, Exhibit ___ (GIOP-5_ at 268, 272) (explaining that without the interconnections, KEDNY would take a "business and reputational hit associated with continued 100% fossil gas supply"); KEDLI Pre-Filed GIOP Testimony, Exhibit ___ (GIOP-5_ at 223, 273) (explaining that without the interconnections, KEDLI would take a "business and reputational hit associated with continued 100% fossil gas supply").

Utilities are required to provide safe and adequate service at just and reasonable rates,[93] but the Companies have failed to identify any reliability or other need for the interconnections. Additionally, requesting a levelized rate increase of 10.5% for KEDNY and 9.4% for KEDLI's residential customers and charging ratepayers for infrastructure that serves only the Companies' interest is not just or reasonable.[94] Nor have the Companies shown, as required under the CLCPA, that the interconnections are consistent with and would not interfere with attainment of the CLCPA greenhouse gas limits without justification, and would not disproportionately burden disadvantaged communities. The Commission should accordingly deny cost recovery for the interconnections and reject Section 7.8 of the Joint Proposal.

A. The Companies Have Not Established that the Biomethane Interconnections Are Needed to Provide Safe and Reliable Service, and Therefore Rate Recovery Would Result in Unjust and Unreasonable Rates.

Neither the Joint Proposal nor the Companies' pre-filed testimony provide any basis for determining that the interconnections will contribute to meeting any reliability or supply constraint need. The Companies' existing biomethane interconnection, the Newtown Creek Project, should serve as a cautionary tale for how biomethane interconnections can be unreliable, fail to contribute to providing safe and reliable service, and create financial risk for ratepayers.

1. Constructing four new biomethane interconnection projects is inappropriate and unnecessary.

The Companies have yet to demonstrate any customer need for the biomethane interconnections, and therefore, that rate recovery would be inconsistent with ensuring just and reasonable rates. The Third Department has found rate recovery for a capital investment to be reasonable where a prudent planner anticipated ratepayer demand that the investment will

[93] PSL § 65.
[94] Joint Proposal at 7–8.

serve.[95] The Commission similarly stated in the 2019 KEDNY/KEDLI Rate Case that the Companies should only make investments that are "necessary to serve their customers."[96] Here, the Companies have not identified any need or increased ratepayer demand for the interconnections.

The record provides no support for the interconnections' stated justifications. The Companies claimed in their pre-filed testimony that the interconnections would address "supply/capacity constraint or supply diversity needs."[97] However, neither the Companies' pre-filed direct testimony nor the Joint Proposal identifies any supply or capacity constraints. In fact, under the Joint Proposal the Companies are only required to identify any reliability benefits of the interconnections 90 days before each project is constructed.[98] Allowing cost recovery now, before making a determination that the interconnections are "necessary to serve" ratepayers, would contravene the Commission's obligations under the Public Service Law.[99] Additionally, while the Companies have claimed they are seeking to reduce reliance on pipeline capacity,[100] they have provided no evidence that the interconnections will make a meaningful impact on the need to import fossil gas. Rather, blending biomethane into the gas distribution system will simply prolong reliance on fossil gas. New York will never have enough biomethane to replace

[95] *Abrams v. Pub. Serv. Comm'n*, 104 A.D.2d at 138.
[96] 2021 KEDLI/KEDNY Order at 111.
[97] *See* KEDNY Pre-Filed GIOP Testimony, Exhibit ___ (GIOP-5_ at 270, 274); KEDLI Pre-Filed GIOP Testimony, Exhibit ___ (GIOP-5_ at 224, 2228).
[98] Joint Proposal at 55.
[99] *See* 2021 KEDLI/KEDNY Order at 111.
[100] KEDNY and KEDLY Pre-Filed Gas Supply Panel Testimony at 18.

fossil gas, and so using biomethane only leads to the continued use of fossil gas and the gas distribution system.[101]

The Companies next claim that the new biomethane interconnections will "[i]mprove[] [c]ustomer [s]atisfaction."[102] They have provided absolutely no support for this claim. On the contrary, prolonging reliance on combustion gas only harms ratepayers who need to continue to fund the Companies' capital investments in the gas distribution system at exorbitant returns on equity, creating high rates that are neither just nor reasonable.

Finally, the Companies assert that the new biomethane interconnections will provide emissions reductions.[103] This claim is demonstrably false, as detailed below, because the interconnections will in reality increase net greenhouse gas emissions. If the Companies sincerely wanted to reduce greenhouse gas emissions, they could use the nearly $23 million of customer money they plan to spend on the interconnections on proven decarbonization measures such as demand response, weatherization, and electrification.

Moreover, the Companies have not conducted a benefit-cost analysis of the interconnections, as required to justify a non-pipeline alternative.[104] In fact, although the Joint Proposal includes projected capital costs, the Companies do not need to identify the

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[101] In 2017, New Yorkers used 1,280 trillion British thermal units of natural gas in the residential, commercial, industrial, transportation, and electrical generation sectors. The New York State Energy Research and Development Authority's ("NYSERDA") April 2022 report concluded that even under an optimistic growth scenario, anaerobic digestion could only produce 44.4 trillion British thermal units of biomethane in New York per year. NYSERDA, *Potential of Renewable Natural Gas in New York State 8,* Rep. No. 21-34 (Apr. 2022), https://www.nyserda.ny.gov/-/media/Project/Nyserda/files/EDPPP/Energy-Prices/Energy-Statistics/RNGPotentialStudyforCAC10421.pdf.

[102] *See* KEDNY Pre-Filed GIOP Testimony, Exhibit ___ (GIOP-5_ at 270, 274); KEDLI Pre-Filed GIOP Testimony, Exhibit ___ (GIOP-5_ at 224, 228).

[103] *See* KEDNY Pre-Filed GIOP Testimony, Exhibit ___ (GIOP-5_ at 270, 274); KEDLI Pre-Filed GIOP Testimony, Exhibit ___ (GIOP-5_ at 224, 228).

[104] *See* CLCPA Order at 41 (noting the need for a benefit cost analysis to justify a non-pipeline alternative); *see also* Synapse Direct Testimony at 25 ("Utilities have an obligation to demonstrate that an investment is prudent, such as by justifying investment with a benefit-cost analysis.").

interconnections' total estimated costs until 90 days before construction.[105] Investing ratepayer dollars in new polluting infrastructure that only serves the Companies is imprudent. Allowing rate recovery with so little information about the interconnections' impacts on rates and without any basis to conclude that they would benefit customers is not consistent with ensuring that rates are just and reasonable.

2. The Newtown Creek Project further demonstrates that rate recovery for the interconnections is inconsistent with providing safe and reliable service at just and reasonable rates.

The history of the Newtown Creek Project further underscores the imprudence of investing in new interconnections, and that allowing rate recovery would violate the Commission's mandates. As the Commission has explained, in order to ensure that rates are just and reasonable, utilities may only invest in investments that are prudent.[106] Moreover, "[p]rudence is determined by judging whether the utility acted reasonably, under the circumstances at the time, considering that the Company had to solve its problems prospectively rather than in reliance on hindsight."[107] The present circumstances include the fact that the Companies already have an existing interconnection—for which the Commission also authorized rate recovery—that has been chronically delayed and dysfunctional. The Companies' existing biomethane interconnection demonstrates that the new interconnections pose unnecessary risks to ratepayers and are therefore not prudent investments.[108]

KEDNY owns and operates a biomethane production facility and interconnection ("Newtown Creek Project" or "Project") at the Newtown Creek Wastewater Treatment Plant.

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[105] Joint Proposal at 55–56.
[106] 2021 KEDLI/KEDNY Order at 111; *cf. Abrams v. Pub. Serv. Comm'n.*, 104 A.D.2d at 138 (finding recovery for a capital investment reasonable because "a prudent planner" anticipated ratepayer demand that the investment would serve).
[107] *Nat'l Fuel Gas Distrib. Corp. v. Pub. Serv. Comm'n*, 71 A.D.3d at 66.
[108] *See Prudent*, Black's Law Dictionary (11th ed. 2019) ("[s]ensible and careful, esp[ecially] in trying to avoid unnecessary risks").

The Newtown Creek Wastewater Treatment Plant is owned by New York City and creates biogas using anaerobic digestion of sludge, a byproduct of wastewater treatment operations, as well as food waste.[109] The Newtown Creek Project takes that biogas and refines it, producing biomethane.[110] The Project has been plagued by malfunction. Although New York City initially announced in 2013 that the Newtown Creek Project would be completed in 2015,[111] the in-service date was pushed to August 2019 under the engineering, procurement, and construction agreement with the contractor.[112] Even then, the Newtown Creek Project did not come online until March 31, 2023.[113] The Project's construction cost, including start up and commission, was $56.568 million.[114] Between April 2023 and March 2024, the Project cost the Companies $1.618 million in taxes and operations and maintenance costs.[115] The electricity costs associated with the Project's first year of operation have yet to be calculated.[116]

In addition to being delayed by nearly a decade, the Newtown Creek Project has failed to run on many days because National Grid needed to perform maintenance or do unplanned work to address issues with the Project's operations.[117] The Project had approximately 4,719 hours of operation and 4,065 hours of downtime between April 2023 and March 2024,[118] and operated for

[109] Companies' Response to WE ACT IR 105(c), attached as Exhibit E; Companies' Response to KCT IR 01(1), attached as Exhibit F; Samantha Maldonado, *Newtown Creek Plant Burns Off Valuable Methane Daily as Waste Recycle Project Lags*, The City (Apr. 15, 2022), https://www.thecity.nyc/2022/04/15/newtown-creek-plant-burns-methane-waste-recycle-lags/.
[110] KEDNY Pre-Filed GIOP Testimony at 81–82.
[111] Press Release, N.Y.C. Dep't of Env't Prot., City Announces Innovative New Partnerships that Will Reduce the Amount of Organic Waste Sent to Landfills, Produce a Reliable Source of Clean Energy and Improve Air Quality (Dec. 19, 2013), https://www.nyc.gov/html/dep/html/press_releases/13-121pr.shtml#.Yk28FxDMJmA.
[112] Companies' Response to DPS IR 859(2), attached as Exhibit G.
[113] *Id*.
[114] Companies' Response to WE ACT IR 162, Attachment 1 at 4, attached as Exhibit H.
[115] *Id*. at 4–5.
[116] *Id*. at 5.
[117] Companies' Response to WE ACT IR 155(b), attached as Exhibit I; Companies' Response to WE ACT IR 139(a), (b), attached as Exhibit J; Companies' Response to KCT IR 01(2), attached as Exhibit F.
[118] Companies' Response to WE ACT IR 162, Attachment 1 at 5, attached as Exhibit H.

merely 123 days in 2023.[119] The Project was completely offline from August 12 until November 27, 2023, and was also completely or intermittently offline for 88 additional days, including, at times, for a week or more at a time.[120] In the first three months of 2024, the Newtown Creek Project was completely or intermittently offline for 30 days.[121]

All told, KEDNY has injected approximately 116,000 dekatherms of biomethane produced at the Newtown Creek Project into its system, enough to meet the annual gas usage of fewer than 1,000 homes, even though, when fully functioning, the Project should be able to meet the gas usage of 5,200 homes.[122] The Companies' attempt to hold the Newtown Creek Project out as a model for how biomethane can benefit ratepayers, despite the significant and troubling obstacles, is absurd at best.

The Newtown Creek Project has failed to contribute to providing reliable service due to its delayed and intermittent functioning and gives lie to the Companies' claim that the biomethane interconnections will allow reduced reliance on pipeline capacity. The Project's malfunctioning also creates financial risk to ratepayers. The Project is expected to generate revenue that will defray the costs to ratepayers because the Companies sell environmental attribute credits associated with biomethane production.[123] However, the Companies only create environmental attribute credits when the Project is working. If the new interconnections are, like the Newtown Creek Project, often offline and not producing biomethane, ratepayers would be

[119] Companies' Response to WE ACT IR 155(b), attached as Exhibit I
[120] Companies' Response to WE ACT IR 146(a), attached as Exhibit K; Companies' Response to WE ACT IR 160, attached as Exhibit L.
[121] Companies' Response to WE ACT IR 160, attached as Exhibit L.
[122] Companies' Response to WE ACT IR 161, attached as Exhibit M. The Companies previously disclosed that the Project had injected approximately 75,000 dekatherms into the system, enough to meet the annual needs of 625 households, indicating that each household requires approximately 120 dekatherms per year. Companies' Response to WE ACT IR 158, attached as Exhibit N.
[123] KEDNY Pre-Filed GIOP Testimony at 82–83.

stuck with the bill for those investments and not reap the financial benefits that the Companies have promised.[124]

The Commission should not saddle ratepayers with the costs of four new biomethane interconnections when the Companies have not demonstrated that they can even properly run one, despite working on the project for nearly a decade. The Companies might protest that unlike at the Newtown Creek Project, National Grid will not be responsible for producing the biomethane at the new interconnections. However, the fact that other developers over which the Commission has no jurisdiction will own the new interconnections makes them an even riskier, and therefore imprudent, investment for ratepayers.

B. The Biomethane Interconnections Are Inconsistent with the CLCPA's Mandates and the Joint Proposal Does Not Demonstrate that They Comply with CLCPA Section 7(2).

The Companies have not demonstrated—and could not demonstrate—that the interconnections comply with CLCPA Section 7(2) because they are inconsistent with and would interfere with attainment of the CLCPA greenhouse gas reduction requirements without justification. As the Commission has recognized, CLCPA Section 7(2) applies to joint proposals.[125] Additionally, "[a]lthough a Commission rate order approves only an overall capital expenditure plan and not the specific projects that were reviewed to provide evidentiary support for the utility's rate recovery, absent Commission approval of that rate recovery, such projects would likely not be pursued by the utility."[126] Because "absent Commission approval of that rate

[124] The Companies expect $5.324 million from the sale of environmental attribute credits in the first-rate year. KEDNY Pre-Filed GIOP Testimony at 83. However, in the first six months after the Project came online, it produced less than $1 million in revenue from environmental attributes, one third of which was used to pay the third party that monetizes the attributes, casting doubt on whether the Project will be able to meet the Companies' expectations in the rate year or moving forward. Companies' Response to WE ACT IR 143 (b)(ii), attached as Exhibit O.
[125] 2021 KEDLI/KEDNY Order at 69–70.
[126] *Id*. at 70.

recovery" the Companies would be unlikely to pursue the interconnections, therefore, rate recovery acts as a greenlight for the projects and triggers the need for a CLCPA Section 7(2) analysis.

The Commission should reject any argument that no 7(2) analysis is required because DEC will conduct a CLCPA analysis before approving any air permit for the interconnections. First, the language of Section 7(2) is clear: every agency, when making any decision, must conduct a CLCPA analysis.[127] Second, the interconnections might not require new air permits at all, as demonstrated by the fact that the Newtown Creek Project is covered under New York City's air permit for the Newtown Creek Wastewater Treatment Plant and does not have its own permit.[128] Third, even if air permits are needed, DEC has previously excluded downstream emissions from its own Section 7(2) analysis of biomethane interconnections, suggesting instead that the Commission should consider combustion emissions from the use of biomethane in its own Section 7 assessment.[129] The Companies cannot escape their obligations by arguing that another agency might do a Section 7(2) analysis.

However, the Companies have failed to provide the information required to conduct such an analysis—neither their pre-filed direct testimony nor the Joint Proposal provides data regarding the potential greenhouse gas emissions increases associated with the interconnections, and the Companies' assertion that the interconnections will achieve emissions reductions are incorrect for the following reasons. First, the Companies cannot claim any emissions reduction

[127] *See* CLCPA § 7(2) ("all state agencies . . . shall consider . . . .").
[128] Companies' Response to WE ACT IR 152(d), (e), (f), attached as Exhibit P.
[129] *See* DEC, Responsiveness Summary for Seneca Energy II, at 2–3 (Sept. 2023), attached as Exhibit Q ("Seneca Energy Responsiveness Summary") (acknowledging that biomethane project would produce over 200,000 tons of downstream carbon dioxide equivalent emissions from biomethane combustion but stating that "these emissions would also be appropriately considered as direct emissions from the end-users of the [biomethane] generated by this project. To the extent any end-users are subject to . . . Section 7 review these emissions will be analyzed at that time.").

from using biomethane because they do not plan to purchase the associated environmental attribute credits associated. This is because when someone else buys the environmental attribute, they are buying the right to claim the associated emissions reductions.[130] As the Companies themselves have recognized, any emissions reductions benefits are transferred with the environmental attributes.[131] Moreover, the emissions reductions associated with the interconnections are very likely to be transferred out of state. Although the Joint Proposal provides that the Companies will "engage" the biomethane developers in discussions about selling the environmental attribute credits to voluntary purchasers in New York State,[132] the developers are not subject to the Commission's jurisdiction and should be expected to sell the credits for the highest possible profit. Voluntary purchasers' willingness to pay is far lower than purchasers who need credits to comply with the federal Renewable Fuel Standard or the California Low-Carbon Fuel Standard.[133] While under any circumstances the Companies may not claim emissions benefits without purchasing the environmental attribute credits, the Commission should reject any argument that the interconnections will reduce statewide greenhouse gas emissions even if they do not decarbonize the Companies' system.

Second, replacing fossil gas with biomethane results in a net emissions increase due to methane leakage. Because biomethane is primarily methane, its leakage is as harmful to the

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[130] *See* U.S. Env. Prot. Agency, *Double Counting* (last updated Jan. 15, 2024), https://www.epa.gov/green-power-markets/double-counting (explaining that double-counting occurs when an energy producer claims to be using renewable energy while selling the associated environmental credits, which "falsely depict[s]" the number of entities that are using renewable energy); *see also* Compensate, *What is Double Counting and Why is it Such a Big Deal?* (Apr. 29, 2021), https://www.compensate.com/articles/what-is-double-counting-and-why-is-it-such-a-big-deal.
[131] Companies' Response to WE ACT IR 143(a), attached as Exhibit R ("[E]missions reduction benefits associated with [biomethane] produced from the Newtown Creek [biomethane] Project are tied to the environmental attributes being sold, and are therefore transferred with the sale of the attributes.").
[132] Joint Proposal at 56.
[133] Adam Wilson & Tony Lenoir, *U.S. Renewable Energy Credit Market Size to Double to $26 Billion by 2030*, S&P Market Intelligence (Dec. 16, 2022), https://www.spglobal.com/marketintelligence/en/news-insights/research/us-renewable-energy-credit-market-size-to-double-to-26-billion-by-2030; Pace Energy & Climate Ctr., *Voluntary and Corporate Renewable Energy in New York: Challenges to Maximizing Voluntary Benefits and Meeting State Goals* 2 (Sept. 11, 2017), https://peccpubs.pace.edu/getFileContents.php?resourceid=c58532aadab8299.

climate as fugitive fossil gas emissions. Biomethane that is not used at the point of production always results in net greenhouse gas emissions increases because of the inevitability of methane leakage during transport.[134] Because the interconnections will increase net emissions, allowing for rate recovery would be inconsistent with the State's attainment of the CLCPA greenhouse gas reduction requirements.

Third, the interconnections will interfere with achieving the CLCPA targets because the use of biomethane in the gas distribution system contravenes the Scoping Plan's recommendations.[135] Attempting to decarbonize through alternative combustion fuels only prolongs the life of the gas distribution system and makes it more difficult to achieve the managed downsizing envisioned in the Scoping Plan.[136] Indeed, the Massachusetts Department of Public Utilities recently rejected gas utilities' proposal to charge ratepayers for the costs of blending biomethane into the gas distribution system, recognizing that the system must significantly downsize.[137] Additionally, the Scoping Plan is clear that biogas, such as the biogas produced at wastewater treatment facilities, should be used onsite rather than converted to biomethane and transported elsewhere,[138] and provides that biomethane should be used strategically and for non-combustion uses rather than in pipelines.[139] While in the 2022 Con Edison Rate Case the Commission concluded that one biomethane project would be permissible

[134] Emily Grubert, *At Scale, Renewable Natural Gas Systems Could Be Climate Intensive: The Influence of Methane Feedstock and Leakage Rates* 4, 7, 15 Env't Rsch. Ltrs 084041 (2020), https://doi.org/10.1088/1748-9326/ab9335 (Jessel Testimony Ex. 18). According to Grubert, "flaring is most likely the less [greenhouse gas] intensive alternative for waste methane once it has been captured." *Id*. at 7.
[135] DEC, DAR-21: The Climate Leadership and Community Protection Act and Air Permit Applications at 5 (Dec. 14, 2022), https://extapps.dec.ny.gov/docs/air_pdf/dar21.pdf (inconsistency with the scoping plan is a basis for finding a project inconsistent under Section 7(2)).
[136] *See* Scoping Plan at 350 (recognizing the need to strategically downsize the gas system in order to achieve the CLCPA emissions targets).
[137] Mass. Dep't Pub. Utilities, Order on Regulatory Principles and Framework at 1, 70 Mass. DPU 20-80-B (Dec. 6, 2023), https://www.clf.org/wp-content/uploads/2023/12/DPU-20-80-B-Order-12.6.2313.pdf.
[138] Final Scoping Plan at 337.
[139] *Id*.

under the Scoping Plan to allow the utility to assess it as a decarbonization method,[140] here, National Grid already has a biomethane project—which, as detailed above, is chronically dysfunctional.

Due to the Companies not buying the environmental attributes associated with the biomethane, biomethane will inevitably leak during transport, and the interconnections are misaligned with the Scoping Plan, the interconnections will interfere with and be inconsistent with achieving the CLCPA's greenhouse gas reduction requirements and the Commission cannot approve rate recovery without a justification.[141] Because the interconnections have no legitimate justification, a proper Section 7(2) analysis would require the conclusion that rate recovery must be denied.

C. The Information Pertaining to the Biomethane Projects Is Woefully Insufficient to Comply with Section 7(3) of the CLCPA.

The Commission cannot approve the biomethane interconnection projects until the Companies conduct a disparate impact analysis of the interconnections, required under CLCPA Section 7(3). Additionally, such analysis would almost certainly lead to the conclusion that the interconnections would disproportionately burden DACs because the interconnections will generate local emissions of harmful pollutants such as nitrogen oxides ("NOx") and particulate matter as well as vehicle pollution that will compound these impacts, and therefore, rate recovery is unapprovable.

[140] Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements at 127–128, NY PSC Case Nos. 22-E-0064 & 22-G-0065 (July 20, 2023).
[141] CLCPA § 7(2).

1. The Commission must not approve rate recovery without an analysis under CLCPA Section 7(3).

The Commission may not grant the rate recovery request before determining that the interconnections would not disproportionately burden DACs. Under CLCPA Section 7(3), a state agency may not issue an "administrative approval" that would disproportionately burden DACs. As the Commission has recognized, an order approving rate recovery for the biomethane interconnections is an "administrative approval," and therefore a DAC analysis is required.[142] However, the record does not contain any assessment of whether the interconnections would disproportionately burden DACs, or the information that would be needed to conduct such an assessment, such as the baseline of burdens in the impacted communities or the air emissions and other pollution that the interconnections could generate.[143] To the extent the Companies argue that no such analysis is needed because DEC will determine whether the interconnection's air permits disproportionately burden DACs, that argument fails for the reasons stated above with respect to Section 7(2). Because the record contains no assessment of whether the interconnections would disproportionately burden disadvantaged communities, approving Section 7.8 of the Joint Proposal would violate CLCPA Section 7(3).

2. A proper analysis would almost certainly show that the interconnections will disproportionately burden DACs.

Although the Commission cannot approve rate recovery because the record contains no DAC analysis, such an analysis would almost certainly show that the interconnections would disproportionately burden DACs, and therefore, the Commission cannot approve rate recovery. All four interconnections would be located in or very close to DACs. KEDNY seeks recovery for

[142] 2021 KEDLI/KEDNY Order at 74.
[143] *See* DEC, Draft DEP-23-1/Permitting and Disadvantaged Communities at 5 (Sept. 27, 2023), , https://extapps.dec.ny.gov/docs/permits_ej_operations_pdf/draftdep23dash1policy.pdf (a Section 7(3) analysis requires relevant baseline of existing burdens and potential emissions, among other information).

an interconnection at the Jamaica Wastewater Treatment Plant located at 154-42 134th Street in Queens, New York. The facility is approximately one block from a DAC. KEDNY also seeks recovery for an interconnection at 2671 Arthur Kill Road in Staten Island, which is within a two-mile radius of a DAC. KEDLI seeks recovery for an interconnection at a wastewater treatment plant located at 2 Marjorie Lane in East Rockaway. The facility is approximately one block from a DAC. Finally, KEDLI also seeks recovery for an interconnection in Calverton Executive Park, which is located in a DAC.[144]

Biomethane production creates local impacts that can burden the surrounding community. Turning biogas into biomethane entails the use of a thermal oxidizer and flaring, results in NOx emissions, and often relies on natural gas combustion as a fuel source, which in turn results in emissions of NOx and particulate matter.[145] Moreover, anaerobic digestion—the process used to create biogas—has been linked to ammonia emissions, a precursor to the dangerous pollutant particulate matter.[146] Additionally, the vehicle traffic induced by biomethane interconnections, for example to truck in food waste to be anaerobically digested, will compound this local pollution.

The Commission should reject any argument that the biomethane interconnections will reduce local air pollution by preventing flaring. Two of the interconnections would not be connected to any existing infrastructure. As a result, they will create new and additional local pollution without even the pretense of reducing flaring. Even though two of the interconnections

[144] Jessel Testimony at 40–41.
[145] *See, e.g.*, Companies' Response to WE ACT IR 150(a), (f), attached as Exhibit D (explaining that flaring occurs when turning biogas into biomethane, and that the thermal oxidizer at the Newtown Creek Project relies on natural gas combustion for fuel); Companies' Response to WE ACT IR 152(a), attached as Exhibit P (explaining that the Newtown Creek Project emits NOx); Seneca Energy Responsiveness Summary at 1, 5-6, attached as Exhibit Q (discussing the use of a thermal oxidizer and NOx emissions at the Seneca Energy biomethane project and the project's reliance on natural gas combustion); Jessel Testimony at 20–21 (discussing the health impacts of methane combustion).
[146] Jessel Testimony at 41.

would be sited at existing wastewater treatment facilities, if the interconnections are delayed in coming online or malfunction once they come online—like at the Newtown Creek Project—flaring will continue. In fact, biomethane production can incentivize increased methane production,[147] which can lead increased to methane flaring—and therefore, more pollution—when not all of the methane produced is converted into biomethane.[148] The interconnections represent exactly what CLCPA Section 7(3) was intended to prevent: the continued placement of polluting infrastructure in already overburdened communities. The Commission should deny cost recovery for the interconnections.

3. The Companies ignore important lessons learned from the Newtown Creek Project about how biomethane interconnections can disproportionately burden DACs.

The experience of the community surrounding the Newtown Creek Project makes the ways in which biomethane interconnections can overburden DACs all too clear. As discussed, the Project was delayed by nearly a decade, and since coming online, only runs for about half the time. When the Project is offline, the Newtown Creek Wastewater Treatment Plant must flare the biogas produced there because there is no way to turn it into biomethane.[149] Flaring as well as biomethane production itself both emit very dangerous pollutants as detailed above. The flaring also creates vibrations that disrupt local residents and people who work nearby.[150] Additionally, up to 250 tons of organic food waste are currently trucked to the Newtown Creek Wastewater Treatment Plant every day in order to serve the Project.[151] Those trucks also impact the local

[147] Jessel Testimony at 28–29.
[148] *See infra* Section II(E)(3).
[149] Companies' Response to WE ACT IR 139, attached as Exhibit J; Sophia Chang, *Project to Convert NYC Compost to Heating Fuel Goes Offline Weeks After Launching*, Gothamist (Nov. 11, 2023), https://gothamist.com/news/project-to-convert-nyc-compost-to-heating-fuel-goes-offline-weeks-after-launching.
[150] Companies' Supplemental Response to WE ACT IR 145 Attachment 1 at 3, 6, 9, attached as Exhibit S.
[151] Companies' Response to DPS IR 849(1), attached as Exhibit T.

community by creating air pollution, congestion, and other nuisances. Air pollution from trucks compounds the environmental impacts on the local community.

The existence of the Newtown Creek Project has induced more biogas flaring than otherwise would have occurred. Since 2015, New York City has been anaerobically digesting food waste at the Newtown Creek Wastewater Treatment Center, in addition to wastewater sludge, to increase the production of biogas that can be fed to the Newtown Creek Project.[152] As a result, when the Newtown Creek Project is offline, the biogas that is flared is a product of both sludge and organic food waste. In other words, more flaring occurs—and has for nearly a decade—than would have occurred if the Project did not exist. The experience of the Newtown Creek Project makes painfully clear how biomethane interconnections can disproportionately burden DACs, and should put to rest any argument that a biomethane interconnection to a wastewater treatment plant is guaranteed to reduce local pollution.

III. THE COMMISSION SHOULD MODIFY THE JOINT PROPOSAL TO PROVIDE ADDITIONAL PROTECTIONS FOR THE COMMUNITY SURROUNDING THE NEWTOWN CREEK PROJECT.

The Commission should not allow further investment of ratepayer money into the Newtown Creek Project because, as detailed above, such investment is not consistent with the Commission's obligations under the Public Service Law and the CLCPA. However, if the Project continues to operate and be funded by ratepayers, the Commission can take steps to mitigate its impacts.

[152] Joel Rose, *Turning Food Waste Into Fuel Takes Gumption and Trillions of Bacteria*, NPR (Mar. 11, 2014), https://www.npr.org/sections/thesalt/2014/03/11/287310897/turning-food-waste-into-fuel-takes-gumption-and-trillions-of-bacteria.

WE ACT supports the reporting requirements regarding the Newtown Creek Project provided by the Joint Proposal.[153] However, more is needed to protect the community—including DAC members[154]—that are burdened by the Newtown Creek Project. The Commission should consider imposing penalties on the Companies if the Project is offline for a certain number of days or for a certain number of hours over the course of a week. Additionally, local residents have struggled to obtain information about what is happening at the Project and to have their concerns heard.[155] Providing annual reports with the information listed in Section 7.9 of the Joint Proposal is insufficient to keep the community informed about what is happening around them; the Commission should also require the Companies to file reports on at least a quarterly basis. The Commission should direct the Companies to hold regular meetings with Community Board 1 and other community members in order to provide updates about the Project and answer questions. The Companies should be more responsive to emails and other communications from community members asking questions about the Project.

These measures are especially important because New York City is considering doubling the cap on the amount of food waste that can be anaerobically digested at the Newtown Creek Wastewater Treatment Plant, from 250 tons per day to 500 tons per day,[156] meaning that even more methane will be flared if the Newtown Creek Project continues to be periodically offline. Additionally, New York City imposes no restrictions on the time that the Project can be offline and imposes no penalties when the Project fails to function.[157] As a result, there are no guardrails to ensure that flaring will not continue at high rates.

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[153] Joint Proposal at 56–58.
[154] Jessel Testimony at 41 (explaining that the Project is in a DAC).
[155] Companies' Supplemental Response to WE ACT IR 145 Attachment 1 at 1, 3, 6, 9, attached as Exhibit S (emails from community member asking repeatedly for updates on the Project and raising transparency concerns).
[156] Companies' Response to DPS IR 849, attached as Exhibit T.
[157] Companies' Response to WE ACT IR 157, attached as Exhibit U.

Additionally, although WE ACT welcomes the requirement that the Companies track and report on formal complaints about the Newtown Creek Project, it is critical that community members understand how to lodge a formal complaint that will be reported. The Companies should provide written materials and communicate at meetings that only PSC complaints, Better Business Bureau complaints, complaints received via the complaint form on National Grid's website, and other customer complaints managed by the Companies' Office of the President will be tracked and reported,[158] and provide guidance to community members on how to lodge a complaint using those avenues. Otherwise, community members might email National Grid employees or voice concerns at meetings without understanding that their complaints will not be tracked and reported.

There is a lack of clarity and understanding regarding which aspects of the Project and the Newtown Creek Wastewater Treatment Plant are the responsibilities of the Companies, and which fall under New York City's jurisdiction. This confusion makes it even more difficult for community members to obtain information and voice their concerns. In meetings with community members and any written materials, the Companies should clarify the bounds of the Project, what the Companies are responsible for, and what they are required to do to comply with federal, state, and local law, as well as any agreements with New York City. For these reasons, the Commission should modify Section 7.9 of the Joint Proposal to ensure that flaring is minimized or eliminated and local residents have access to information and a clear way to voice their concerns.

[158] *See* Joint Proposal at 57.

IV. THE JOINT PROPOSAL IMPERMISSIBLY ALLOWS THE COMPANIES TO CHARGE POLITICAL EXPENDITURES TO RATEPAYERS.

The Companies have been promoting their own policy agenda at the state and local levels and unlawfully saddling ratepayers with the associated costs. While those costs are not apparent from the Joint Proposal and appendices, WE ACT has found through discovery requests that the Companies have been improperly recording political expenditures and charging them to ratepayers. State and federal law, as well as Commission guidance, prohibit utilities from charging ratepayers for the costs of political activities such as membership dues to organizations that engage in lobbying, efforts to sway public officials on policy matters, and advertising that aims to influence the opinions of the public or policymakers. The Companies have flagrantly violated these rules in advancing their own interests with legislators and regulators and making ratepayers foot the bill.

Rates cannot be just and reasonable if they include costs that utilities are legally prohibited from recovering from ratepayers.[159] As other states and even federal lawmakers have recognized, utilities frequently squeeze ratepayers for their own political gain.[160] The Commission must take steps to ensure that the Companies refund ratepayers with interest for past unlawful charges, and properly track political expenditures and charge them to shareholders going forward. Much of the Companies' conduct is detailed below, but unfortunately, it is impossible to discern the full extent of the political expenditures unlawfully passed onto ratepayers without a full audit because the Companies have not been applying the correct standard when determining what political expenditures can and cannot be recovered. In addition

[159] *See Niagara Mohawk Power Corp.*, 69 N.Y.2d at 369 (a utility may not "include negligent" costs in its operating expenses).

[160] *See, e.g.,* Akielly Hu, *Hot Trend: States Banning Utilities from Charging You for Their Lobbying*, Canary Media (July 10, 2023), https://www.canarymedia.com/articles/utilities/hot-trend-states-banning-utilities-from-charging-you-for-their-lobbying; Nico Portuondo, *Markey, Whitehouse Launch Campaign Against Gas Group*, E&E News (Apr. 10, 2024), https://www.eenews.net/articles/markey-whitehouse-launch-campaign-against-gas-group/.

to ordering an audit and refunds, the Commission should impose penalties to ensure compliance and require the Companies to track and report their political expenditures to the Commission going forward.

A. The Historic Test Year Includes Trade Association Dues that Must be Excluded Under State Law.

Both KEDNY and KEDLI ask the Commission to blatantly violate clear law in seeking recovery of dues paid to trade associations that engage in legislative lobbying. Section 114-a of the New York Public Service Law prohibits the Commission from approving a rate request that includes the cost of legislative lobbying or dues to any entity that participates in legislative lobbying.[161] Under Section 114-a, "legislative lobbying" is defined as "any attempt by any person on behalf of a public utility to influence the passage or defeat of any legislation by either house of the legislature or the congress, or the approval or disapproval of any legislation by the governor."[162]

KEDNY's Historic Test Year includes $2,419.02 and KEDLI Historic Test Year includes $2,974 in dues to the National Insurance Crime Bureau, which has registered lobbyists at the U.S. Senate and House of Representatives.[163] The Public Service Law expressly prohibits recovery of member dues for any "entity that engages in legislative lobbying," including lobbying before Congress.[164] Accordingly, these dues should be excluded from the Historic Test Year.

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[161] *See* PSL § 114–a ("In determining rates to be charged customers, the commission shall not include the cost of legislative lobbying on behalf of any public utility as part of any such utility's operational costs and the commission shall not include the cost of membership dues for any organization, association, institution, corporation or any other entity that engages in legislative lobbying as part of any such utility's operational costs.").
[162] *Id*.
[163] Companies' Response to DPS IR 48 Attachment 1 (Jessel Testimony Ex. 79); Companies' Response to DPS IR 48 Attachment 2 (Jessel Testimony Ex. 80). *See also* Lobbyist Registration of National Insurance Crime Bureau (Jessel Testimony Ex. 1 & 2) (showing lobbyist registrations at the U.S. House and Senate).
[164] PSL § 114–a.

B. The Historic Test Year Includes Unrecoverable Costs Related to Activities that Seek to Influence Public Officials.

The Companies have been unlawfully forcing ratepayers to fund their political advocacy before lawmakers and regulators. New York has adopted the Federal Energy Regulatory Commission's ("FERC") Uniform System of Accounts.[165] Under the Uniform System of Accounts, political expenditures must be recorded "below the line," and not charged to ratepayers.[166] Whereas Section 114-a of the Public Service Law prohibits recovery only for costs related to legislative lobbying at the state and federal levels, the Uniform System of Accounts prohibits cost recovery for a wider range of political activities, as detailed in Account 426.4:

> This account shall include expenditures for the purpose of influencing public opinion with respect to the election or appointment of public officials, referenda, legislation, or ordinances (either with respect to the possible adoption of new referenda, legislation or ordinances or repeal or modification of existing referenda, legislation or ordinances) or approval, modification, or revocation of franchises; or for the purpose of influencing the decisions of public officials.[167]

The Historic Test Year and Revenue Requirement include costs of activities "for the purpose of influencing the decisions of public officials," which should be charged to Account 426.4 and recorded below the line under federal law.[168] In November 2021, National Grid Vice President of Corporate Affairs Bryan Grimaldi delivered testimony before the New York City Council Committee on Environmental Protection on Intro 2317, a bill to phase out fossil fuel

[165] *See* 16 NYCRR Pt. 312.1.
[166] 18 C.F.R. Pt. 201; *see also* Rate Recovery, Reporting, and Accounting Treatment of Industry Association Dues and Certain Civic, Political, and Related Expenses, 86 Fed. Reg. 72,958, 72,959 (Dec. 23, 2021) (explaining that Account 426.4 "is considered below the line (*i.e.,* generally excluded from rate recovery)").
[167] 18 C.F.R. Pt. 201.
[168] *Id*.

combustion in new buildings.[169] Grimaldi's salary is included in the Companies' revenue requirement, except for the portion of his salary associated with below-the-line work activity.[170] However, the time spent preparing and delivering testimony on Intro 2317 was not recorded below the line.[171] Because this testimony was for "the purpose of influencing the decisions of public officials" on whether to vote for Intro 2317, the time and expense associated with his testimony should have been recorded below the line and not funded by ratepayers.[172]

Similarly, in June 2022, National Grid submitted comments to the Climate Action Council on the draft Scoping Plan.[173] The time spent preparing those comments was not recorded below the line, and was therefore improperly charged to ratepayers.[174] National Grid employees also testified at hearings before the Climate Action Council on the draft Scoping Plan.[175] That time was not recorded below the line.[176] These activities served "the purpose of influencing the decisions of public officials" serving on the Climate Action Council with respect to what to include in the Scoping Plan, and therefore should have been recorded below the line and not financed by ratepayers.[177]

Finally, in June 2023, National Grid Vice President for U.S. Policy and Regulation Sandy Grace submitted a comment letter to DEC and NYSERDA about New York's proposed cap and invest program, which is being developed to implement the CLCPA.[178] Costs related to the

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[169] *National Grid Submits Testimony for the NYC Council Committee on Environmental Protection*, Nat'l Grid, (Nov. 17, 2021), https://www.nationalgridus.com/News/2021/11/National-Grid-Submits-Testimony-for-the-NYC-Council-Committee-on-Environmental-Protection-Committee-Oversight-Hearing-on-Building-Electrification/; *see also* Companies' Response to DPS IR 5 Attachment 1 at 816 (Jessel Testimony Ex. 58); Companies' Response to WE ACT IR 82 (Jessel Testimony Ex. 57).
[170] Companies' Response to WE ACT IR 91 (Jessel Testimony Ex. 59).
[171] Companies' Response to WE ACT IR 82 (Jessel Testimony Ex. 57).
[172] 18 C.F.R. Pt. 201.
[173] *See* Companies' Response to WE ACT IR 83 (Jessel Testimony Ex. 60).
[174] *Id*.
[175] This testimony is available at https://climate.ny.gov/Resources/Public-Comment-Process.
[176] Companies' Response to WE ACT IR 135 (Jessel Testimony Ex. 61).
[177] 18 C.F.R. Pt. 201.
[178] Jessel Testimony at 72.

preparation of those comments were not recorded below the line.[179] While those costs were incurred after the Historic Test Year, they are indicative of the Companies' ongoing failure to properly record costs related to political activity and trend of passing those costs onto ratepayers. The Companies cannot seriously dispute that testifying on pending legislation or submitting comments on proposed agency actions are intended to "influenc[e] the decisions of public officials."[180] The Uniform System of Accounts should protect ratepayers from footing the bill when utilities promote their own interests to lawmakers and regulators. Unfortunately, the Companies flouted those clear prohibitions.

C. The Companies Have Unlawfully Charged Ratepayers for Their Clean Energy Vision Report, a Policy Advocacy Document.

In April 2022, National Grid released a Clean Energy Vision report,[181] which promotes the Companies' preferred policy pathway for New York's energy law and was unlawfully paid for by ratepayers. As discussed, under the Uniform System of Accounts, ratepayers should not fund activities that are intended to "influenc[e] the decisions of public officials."[182] But the Companies use the Clean Energy Vision report, which was developed using ratepayer money,[183] to do just that. The report makes policy recommendations for using alternative combustion fuels to decarbonize New York's gas supply and discourages policymakers from supporting full electrification of the building sector.[184] The report explicitly presented National Grid's "vision" as an alternative to the draft Scoping Plan, explaining that under the draft Scoping Plan the vast

[179] Companies' Response to WE ACT IR 136 (Jessel Testimony Ex. 62).
[180] 18 CFR Pt. 201.
[181] KEDNY and KEDLI Pre-Filed CLCPA Panel Testimony at Exhibit __ (CLCPA-2).
[182] 18 C.F.R. Pt. 201.
[183] Companies' Response to WE ACT IR 46 (Jessel Testimony Ex. 63) (explaining that the Clean Energy Vision report was developed by an internal team whose labor costs are included in the Historic Test Year and revenue requirement and the costs associated with their work was not tracked separately).
[184] KEDNY and KEDLI Pre-Filed CLCPA Panel Testimony at Exhibit __ (CLCPA-2) at 6-10.

majority of building heating systems would be electrified, and National Grid proposes "[a] better way to net zero" through hybrid electric and gas systems.[185]

These are issues at the heart of live policy disputes among New York public officials. For example, the Climate Action Council spent years debating the role of alternative combustion fuels such as hydrogen and biomethane and analyzing the costs and benefits of different approaches.[186] In fact, a utility executive on the Climate Action Council voted against the final Scoping Plan precisely because the Plan prioritizes electrification and does not envision a significant role for these alternative fuels in the building sector.[187] Similarly, debate over the recently enacted Intro 2317 and All-Electric Buildings Act—which will require new buildings to be all-electric in New York City and State respectively—is inextricably linked with the future of the gas system.

The Clean Energy Vision report is an advocacy document that National Grid has used in seeking to "influenc[e] the decisions of public officials."[188] For example, National Grid's comments on the Scoping Plan relied heavily on the Clean Energy Vision report to put forward National Grid's preferred policy pathway.[189] Additionally, in earnings reports, National Grid has

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[185] *Id*. at 6-7.

[186] *See, e.g.*, Scoping Plan at 130 (discussing integration analysis and findings that the Accelerated Transition Away from Combustion pathway produces $130 billion in net benefits, $15 billion more than the Strategic use of Low Carbon Fuels pathway); Minutes of the Climate Action Council Meeting at 16 (Dec. 5, 2022), https://climate.ny.gov/-/media/Project/Climate/Files/CAC5December2022MeetingMinutesFinal19December2022.pdf (discussing revisions to the Gas System Transition chapter of Scoping Plan regarding RNG and hydrogen); Climate Action Council, Meeting 20 Presentation, (Apr. 18, 2022), https://climate.ny.gov/-/media/Project/Climate/Files/2022-04-18-CAC-meeting-presentation.pdf (detailing the work of the Gas System Transition and Alternative Fuels subgroups throughout 2022).

[187] *See* Marie French, *New York Passes Sweeping Plan to Reduce Emissions and 'Lead the Way on Solving Climate Change,'* Politico (Dec. 19, 2022), https://www.politico.com/news/2022/12/19/new-york-emissions-climate-change-00074600.

[188] 18 C.F.R. Pt. 201.

[189] Jessel Testimony at 76–77.

been explicit that the Clean Energy Vision report is a policy advocacy tool. In a November 2022 half-year results call, Chief Operating Officer John Pettigrew explained:

> [A]cross the US northeast, we're advocating working with all stakeholders in progressing our Clean Energy Vision. In December, the New York State Climate Action Council is expecting to make its policy recommendations on the role of gas networks in meeting the State's net zero targets. These recommendations will be followed by consultations, regulatory processes and legislation, and we're closely engaged in the debate.[190]

In a May 2023 full-year results call, Pettigrew similarly stated that National Grid has "[p]rogressed our Clean Energy Vision for our US networks through continued engagement with our regulators and elected officials on our legislative and policy agenda."[191]

Moreover, in addition to engaging in lobbying at the local and state levels, National Grid gives millions of dollars to organizations like New Yorkers for Affordable Energy that have engaged in lobbying on energy and environmental issues.[192] If National Grid or any trade association has used the Clean Energy Vision report in its lobbying—as indicated by Pettigrew's statement that National Grid has "[p]rogressed our Clean Energy Vision" with elected officials to push National Grid's legislative agenda—then ratepayers indirectly paid for that political activity in contravention of FERC's Uniform System of Accounts.[193]

When asked why National Grid published and promoted the Clean Energy Vision report, the Companies responded:

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[190] *Id.* at 77.
[191] Jessel Testimony at 77.
[192] *See, e.g.*, KEDNY Pre-Filed Revenue Requirement Panel Testimony at Exhibit __ (RRP-2), Schedule 1 at 2, Schedule 2 at 52; KEDLI Pre-Filed Revenue Requirement Panel Testimony at Exhibit __ (RRP-2), Schedule 1 at 2, Schedule 2 at 52; Companies' Response to WE ACT IR 11 (Jessel Testimony Ex. 75); 2021–2022 Lobbyist Registration of New Yorkers for Affordable Energy, Inc. (Jessel Testimony Ex. 76) (showing lobbying on a state bill related to energy use); 2021–2022 Lobbyist Registration of SKDKnickerbocker, LLC (Jessel Testimony Ex. 77) (showing lobbying on behalf of New Yorkers for Affordable Energy on a state bill related to energy issues).
[193] *See Newman v. FERC*, 27 F.4th 690 (D.C. Cir. 2022) (explaining that expenditures intended to indirectly influence public officials must also be charged to Account 426.4).

> National Grid published the Clean Energy Vision report to provide a high-level overview of its vision to achieve net zero GHG emissions by 2050 and fully eliminate the use of fossil fuels for the provision of heat to customers in New York and Massachusetts. Given that policy discussions in both states on decarbonization pathways to achieve net zero was well under way, National Grid, like other stakeholders, developed and contributed information to inform that process.[194]

In other words, National Grid developed the Clean Energy Vision report to support its policy advocacy as New York implements the CLCPA. Federal law prohibits rate recovery for this type of activity.[195]

D. The Historic Test Year Includes Unrecoverable Costs Related to Activities that Seek to Sway Public Opinion on Policy Issues.

The Companies seek recovery for expenditures related to political advertising, in contravention of Commission guidance. In 1977, the Commission issued a policy statement setting forth the types of advertising costs that utilities may not recover from ratepayers.[196] The Commission explained that "[i]t is generally accepted that advertising which states a utility's position on a matter of public controversy necessarily reflects the political views or self-interest of managements or shareholders and should not be borne by ratepayers" and that ratepayers should not fund any "advertising which seeks to sway opinion—legislative, environmental, governmental, consumer or any other kind—to the industry's position on public policy disputes."[197]

In addition to using the Clean Energy Vision report in efforts to influence decision makers, the Companies have promoted the report to ratepayers and other consumers in order to sway public opinion using ratepayer money. For example, the Companies include information

[194] Companies' Response to NRDC IR 37(b) (Jessel Testimony Ex. 78).
[195] 18 C.F.R. Pt. 201.
[196] *See In re Advertising and Promotional Practices*, NY PSC Case No. 27052, 1977 WL 201861 (Feb. 25, 1977).
[197] *Id*. at *4.

about and links to the report in communications with customers such as notices and emails.[198] The costs associated with these communications are reflected in the Historic Test Year.[199] National Grid hosts the report on a webpage, alongside an associated podcast and video, that were all paid for by ratepayers.[200]

National Grid also promotes the Clean Energy Vision report on social media.[201] National Grid's social media accounts are managed by internal employees whose labor costs are reflected in the Historic Test Year and revenue requirement.[202] To assist with graphic design, reporting, video, and moderation, the Companies sometimes use the services of vendors whose costs are reflected in the Historic Test Year.[203] Similarly, an issue of a pipeline safety newsletter for customers included information about National Grid's promotion of its "net zero" vision at the 2021 United Nations Climate Change negotiations and linked to the podcast discussed above.[204] While the Companies have sought to characterize the Clean Energy Vision report as merely educating customers about utility service,[205] in reality, the report presents a policy proposal for how National Grid would like the state to treat the gas system over the coming decades.

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[198] *See, e.g.*, Companies' Response to WE ACT IR 45 Attachment 1 at 117 (Jessel Testimony Ex. 67); Companies' Response to WE ACT IR 45 Attachment 5 at 9, 11, 13, 22, 24, 26 (Jessel Testimony Ex. 68); Companies' Response to WE ACT IR 45 Attachment 6 at 64, 66, 68 (Jessel Testimony Ex. 69); Companies' Response to WE ACT IR 49 (Jessel Testimony Ex. 70).

[199] Companies' Response to WE ACT IR 45 (Jessel Testimony Ex. 71); Companies' Response to WE ACT IR 49 (Jessel Testimony Ex. 70).

[200] *Our Vision for a Fossil-Free Future*, Nat'l Grid, https://www.nationalgrid.com/us/fossilfree (last visited Apr. 29, 2024); Companies' Response to WE ACT IR 46 (Jessel Testimony Ex. 63); Companies' Response to WE ACT IR 47 (Jessel Testimony Ex. 64); Companies' Response to WE ACT IR 48 (Jessel Testimony Ex. 65); Companies' Response to WE ACT IR 50 (Jessel Testimony Ex. 66).

[201] *See, e.g.*, National Grid US (@nationalgrid), Twitter (June 5, 2022, 10:00 AM), https://twitter.com/nationalgridus/status/1533448639531687936, attached as Exhibit V; Jessel Testimony at 76..

[202] Companies' Response to WE ACT IR 59 (Jessel Testimony Ex. 72).

[203] *Id*.

[204] Companies' Response to WE ACT IR 45, Attachment 6 at 43 (Jessel Testimony Ex. 69).

[205] *See* KEDNY Pre-Filed Revenue Requirement Panel Rebuttal Testimony at 25–26 (arguing that the report is recoverable as a "report[] on matters of interest to the public concerning the utility's service – such as service difficulties and progress in overcoming them, projections of new capacity additions, plans for new or improved means of providing service, and the like") (quoting *In re Advertising and Promotional Practices*, 1977 WL 201861 at *4); *see also* Joint Proposal App. 3, Sched. 3.6, at 5 of 12 (listing advertising costs).

The Companies have used ratepayer money for other advertising that aims to influence public opinion on the role of natural gas. For example, among the materials sent to customers is a notice stating:

> You've made an important decision by choosing natural gas. It's the fuel of choice for home heating. The best chefs insist on it for cooking. And more than 95% of the natural gas used in the United States is produced right here in North America. That makes it a reliable energy choice, but natural gas is also the cleanest and most efficient fossil fuel. That's good for your home or business, and our planet. Using natural gas instead of other fuels reduces the emissions that contribute to smog, acid rain and global warming.[206]

In the words of the Commission's 1977 policy statement, such a notice by National Grid "seeks to sway opinion . . . to the industry's position on public policy disputes" by promoting natural gas as a clean fuel and the best choice for cooking and heating.[207] Ratepayers must not be forced to fund the Companies' efforts to "seeks to sway opinion" to their position on "matters of public controversy" [208] such as whether New York should electrify buildings or downsize the gas system—live public policy questions that are currently under debate as the Legislature considers the NY Heat Act and state agencies develop regulations to implement the CLCPA. The Companies' use of ratepayer dollars to promote natural gas also underscores their complicity in keeping customers on the gas system. The Companies attempt to blame customers for not consenting to NPAs,[209] but they are informing customers' opinions by painting natural gas as a clean and superior fuel. This type of communication undermines New York's climate policies and goals, but if it occurs at all, it should be financed by shareholders and not ratepayers.

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[206] Companies' Response to WE ACT IR 45, Attachment 5 at 41 (Jessel Testimony Ex. 68).
[207] *See In re Advertising and Promotional Practices*, 1977 WL 201861 at *4.
[208] *Id*.
[209] *See, e.g.*, Companies' Response to CNY IR 67, attached as Exhibit A (explaining that despite identifying five segments of leak prone pipe that could be abandoned if customers agreed to adopt NPAs, none of the projects were successful because the Companies could not obtain customer consent).

E. The Companies' Use of Ratepayer Money for Political Speech Raises Serious First Amendment Concerns.

Utilities' use of ratepayer money to fund their own speech on public policy issues infringes on ratepayers' First Amendment rights. In *Cahill v. Public Service Commission,* the Court of Appeals held that corporate charitable contributions cannot be passed onto ratepayers, explaining that "[t]he essence of the First Amendment impingement, as we have come to understand its modern nuanced application, is that the ratepayers are entitled to protection against forced financial support for causes and messages personally distasteful to them, because that would render those individuals faithless to their own beliefs."[210] So too, ratepayers must be protected against "forced financial support for causes" to which they are opposed but for which utilities are engaged in political advocacy. Ratepayers who oppose National Grid's vision for New York's future—who wish to see the building stock electrified and who support the Scoping Plan—are compelled to finance National Grid's advocacy on energy and environmental policies. The Commission must take steps to protect New Yorkers' First Amendment rights and ensure that utilities are not exploiting them for their own political gain.

F. The Commission Should Audit the Companies.

The Public Service Commission should exercise its authority to hire an independent auditor to audit the Companies' recording of costs related to political activity.[211] National Grid has been operating under the assumption that the only political expenditures that are not recoverable are the ones that meet the definition of "lobbying" under New York Legislative Law or the New York City Administrative Cost. [212] However, those definitions are irrelevant because the Companies' rate recovery is governed by the standard set forth in the Uniform System of

[210] *Cahill v. Pub. Serv. Comm'n*, 76 N.Y.2d 102, 111 (1990).
[211] *See* PSL § 66(19)(a).
[212] KEDNY Pre-Filed Revenue Requirement Panel Rebuttal Testimony at 25-26.

Accounts, which prohibits charging ratepayers for activities that serve "the purpose of influencing the decisions of public officials."[213] Moreover, the Companies *did* include in the historic test year trade association dues to an organization that engages in lobbying as defined under New York State Legislative Law,[214] which should cast doubt on the Companies' judgment and ability to follow even the laws they claim to be following. Because the Companies are not following the standards set forth by state statute, the Uniform System of Accounts or the Commission's 1977 guidance in tracking and recording political costs, an audit is needed to identify political expenditures that have been improperly passed onto ratepayers. Additionally, the Companies' shareholders should pay for the costs of the audit so that ratepayers are not continuing to pay charges related to the Companies' political activities.[215]

Faced with a utility that was improperly charging ratepayers for political activities, in 2022 the California Public Utilities Commission ordered an audit of Southern California Gas Company ("SoCalGas") to determine the full amount of ratepayer money spent on unrecoverable costs.[216] The California Public Utilities Commission also ordered SoCalGas to refund ratepayers with interest for the improper charges, and imposed penalties.[217] Here too, a full audit is needed to determine the extent to which National Grid has been improperly charging ratepayers for the costs of political activity that are not recoverable under the Uniform System of Accounts and the

[213] 18 C.F.R. Pt. 201.
[214] Attachment 1 (Jessel Testimony Ex. 79); Companies' Response to DPS IR 48 Attachment 2 (Jessel Testimony Ex. 80). *See also* Lobbyist Registration of National Insurance Crime Bureau (Jessel Testimony Exs. 81, 82) (showing lobbyist registrations at the U.S. House and Senate).
[215] WE ACT is aware that the Department of Public Service Office of Investigations and Enforcement recently conducted an investigation of another utility for improperly charging lobbying costs to ratepayers and recommended increased oversight. *See* Review of Accounting and Expense Practices by National Fuel Gas Corporation Regarding the Use of Funds Collected from Ratepayers, NY PSC Case No. 23-00512 (Feb. 16, 2024). WE ACT submits that an audit rather than an investigation is needed to determine the full scope of the Companies' misuse of ratepayer funds.
[216] *See* Decision Finding SoCalGas in Contempt at 28, Cal. Pub. Utils. Comm'n Case No. 22-03-010 (Mar. 21, 2022), https://docs.cpuc.ca.gov/PublishedDocs/Published/G000/M460/K615/460615446.PDF.
[217] *Id*. at 28, 32–33.

Commission's 1977 guidance. The Commission should order the Companies to refund ratepayers with interest for past improper charges and impose penalties to deter noncompliance in the future.[218]

G. The Commission Should Impose Conditions to Ensure the Companies Properly Track, Report, and Exclude Political Expenditures.

In addition to initiating an audit, the Commission should impose conditions on the Companies to ensure that they properly track, report, and exclude political expenditures from rate requests. Ratepayers should feel confident that they are not footing the bill for National Grid to promote its political agenda, which undermines New York's own legal requirements and policy plans.

In the 2022 SoCalGas case, the California Public Service Commission ordered the utility to "implement appropriate tracking of employees' time so that the Commission can supervise compliance" and stated that it would impose financial penalties if SoCalGas continued improperly charging ratepayers for unrecoverable political activities.[219] Similarly, the Companies should be required to conduct additional reporting going forward in order to demonstrate that they are complying with the Public Service Law, federal law, and Commission guidance on political expenditures, and should also be required to provide more granular and detailed information about their expenses, including employee time, to ensure that this reporting is accurate. The Commission should impose penalties on the Companies if they fail to properly track and report these expenses in order to provide a sufficient deterrent and ensure compliance.

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[218] *See also Niagara Mohawk Power Corp.*, 69 N.Y.2d at 369 ("Manifestly, a refund is justified when the charges passed through to ratepayers result . . . from the utility's own inefficiency and mismanagement."); *Cahill v. Pub. Serv. Comm'n*, 147 A.D.2d 49, 55 (App. Div. 1989) (whether a refund should be ordered depends on whether the utility reasonably relied on ratepayer money and the necessity of a refund to protect ratepayers' constitutional rights).

[219] Decision Finding Southern California Gas Company in Contempt at 32–33, Cal. Pub. Utils. Comm'n Decision No. 22-03-010 (Mar. 21, 2022), https://docs.cpuc.ca.gov/PublishedDocs/Published/G000/M460/K615/460615446.PDF.

Additionally, the Commission's 1977 policy statement provided that only a very small percentage of a utility's operating revenues could go towards "institutional advertising," meaning advertising that is not clearly controversial or political, "for example, in which a company defends, justifies, or even merely explains and describes its activities."[220] The policy statement explained that the Commission would determine the appropriate percentage for each utility, which would likely "range between 1/10 and 1/25 of one percent of operating revenues."[221] The policy statement further stated:

> This plan will obviously not solve all the problems we have described: we will still have to determine which advertisements are clearly political and/or self-serving, and specifically disallowed; and parties in rate cases would still be free to question the propriety of the lump sum allowance for the informational and other institutional advertising categories.[222]

According to the Companies, their "prior rate plans have not specified a percentage or dollar amount that may be spent on 'institutional-type' advertising."[223] If this is true, then the Commission should set a percentage between 1/10 and 1/25 of one percent of operating revenues that the Companies may spend on institutional advertising in order to ensure compliance with the 1977 policy statement. Moreover, after determining the appropriate percentage of operating revenues that the Companies may spend on institutional advertising, the Commission should allow parties the opportunity to provide input, as discussed in the 1977 guidance.

[220] *In re Advertising and Promotional Practices*, 1977 WL 201861 at *5.
[221] *Id*.
[222] *Id*.
[223] Companies' Response to WE ACT IR 87(d) (Jessel Testimony Ex. 56).

V. WE ACT SUPPORTS THE JOINT PROPOSAL'S EXCLUSION OF THE HYDROGEN PILOT.

Under the Joint Proposal, the Companies will not proceed with then HyGrid Project that they proposed in direct pre-filed testimony until they receive authorization from the Commission.[224] WE ACT supports the Companies' decision to exclude the project because hydrogen blending into the gas distribution system is not only unsafe but is also inconsistent with the Public Service Law and the CLCPA.

First, allowing hydrogen blending would be inconsistent with the Commission's mandate to provide safe and reliable service. Because hydrogen is a small molecule, it is more likely to leak than methane,[225] which poses safety risks because hydrogen can easily ignite.[226] Additionally, in 2022, the California Public Utilities Commission completed a hydrogen blending feasibility study and concluded that systemwide blending becomes "concerning" as blending approaches 5% by volume.[227] The Companies' initial proposal to achieve a blend of up to 20% would pose both safety and reliability concerns.[228] Hydrogen blending presents additional safety risks for end-use consumers because hydrogen combustion can produce six times as much NOx as methane combustion, which as discussed can cause and exacerbate serious illnesses.[229]

Second, rate recovery for a hydrogen blending project would conflict with the Commission's mandate to ensure that rates are just and reasonable because hydrogen blending is

[224] *See* Joint Proposal at 58; KEDLI Pre-Filed GIOP Testimony at 81.
[225] *See* Cal. Pub. Utilities Comm'n, R.13-02-008, *Hydrogen Blending Impacts Study* 3, 11 (2022), https://docs.cpuc.ca.gov/PublishedDocs/Efile/G000/M493/K760/493760600.PDF (hereinafter "CPUC Report").
[226] CPUC Report at 7.
[227] *See* CPUC Report at 4.
[228] KEDLI Pre-Filed GIOP Testimony at 83.
[229] Jessel Testimony at 36.

not prudent or necessary to serve customers.[230] The Companies' direct testimony presented the HyGrid project as beneficial because hydrogen blending is a decarbonization measure.[231] However, hydrogen blending cannot achieve meaningful GHG reductions in the building sector and is not a viable decarbonization pathway. Hydrogen can only be blended up to 5% by volume due to pipeline and appliance constraints.[232] A 5% hydrogen blend would correspond to an energy contribution of less than 2%.[233] The result is that hydrogen blending would have a minimal impact, if any, on overall GHG emissions.[234] Even at the 20% blend proposed by the Companies in their direct testimony, hydrogen would only reduce the carbon intensity of natural gas from 73.1 to 67.8 kilograms of carbon dioxide equivalent per million British thermal unit.[235] Additionally, hydrogen leakage reduces any potential climate benefits because hydrogen acts as an indirect greenhouse gas in the atmosphere by increasing the amounts of other gases such as methane.[236] Hydrogen therefore provides no meaningful climate benefits.[237]

Third, because it provides no meaningful climate benefits and could result in increased greenhouse gas emissions through hydrogen leakage, hydrogen blending is also inconsistent with New York's achievement of the CLCPA mandates. The Companies identified no justification for the HyGrid project other than decarbonization—which, as discussed, the HyGrid project could not achieve. Approving rate recovery for the project would have run afoul of Section 7(2) of the

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[230] *See* 2021 KEDLI/KEDNY Order at 111 ("[T]he Companies are required to make only those investments that are prudent and necessary to serve their customers and any new customers that they are required to serve.").
[231] KEDLI Pre-Filed GIOP Testimony at 78.
[232] CPUC Report at 4.
[233] Walsh & Bloomberg, *The Future of Gas in New York State*, *supra* note 66 at 29.
[234] *Id.*
[235] Companies' Response to NRDC IR 28(a); Jessel Testimony, Ex. 25.
[236] *See* Ilissa Ocko & Steven Hamburg, *Climate Consequences of Hydrogen Emissions* 22 Atmospheric Chemistry & Physics 9349 (2022), https://acp.copernicus.org/articles/22/9349/2022/acp-22-9349-2022.pdf; Maria Sand et al., *A Multi-model Assessment of the Global Warming Potential of Hydrogen* 4 Commc'ns Earth & Env't (2023), https://www.nature.com/articles/s43247-023-00857-8.
[237] In any event, KEDLI planned to sell environmental attributes credits generated by HyGrid, meaning that any climate benefits would have been transferred with the credits and not retained by KEDLI. KEDLI Pre-Filed GIOP Testimony at 84.

CLCPA. For these reasons, WE ACT welcomes the Joint Proposal's exclusion of hydrogen blending pilots.

CONCLUSION

The Legislature's establishment of aggressive mandates for greenhouse gas emissions reductions for New York State and lawmakers' corresponding push for electrification require the Commission to embark on a dramatic shift away from the business-as-usual regulation of the operations of utilities. In light of all of the reasons outlined in this Statement of Opposition, the Joint Proposal, as a whole as well as in its specific terms, is at odds with both the CLCPA and the Public Service Law because the agreement permits the Company to use ratepayer dollars to invest in the Leak Prone Pipe Removal program and pay a premium for biomethane projects that are unsafe, unhealthy, unreliable, and further extend the State's reliance on fossil fuel. A Joint Proposal that complies with shifts in New York State law would instead focus on the obvious need to reduce the demand for and use of gas and transition to electrification. Additionally, the Joint Proposal allows the Companies to continue their unlawful practice of charging ratepayers for activities that push their own political agenda.

The Joint Proposal also fails to abide by legislators' instructions to agencies to rationally and equitably distribute the costs of the economy-wide transition away from fossil fuels. The Joint Proposal locks in immense costs for fossil fuel infrastructure and increases the customer charge in a manner that will inevitably lead to an increase in energy insecurity for customers in National Grid's service territory. Finally, despite the steep increases in residential rates, the Joint Proposal provides minimal protections and programs to address disproportionate impacts in disadvantaged communities. For the foregoing reasons, and because the Joint Proposal is inconsistent with the Scoping Plan, with Governor Kathy Hochul's expressly stated climate and

energy priorities, and with New York State and federal law, WE ACT recommends that the Commission reject and modify the Joint Proposal.

Respectfully submitted,

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